BERNSTEIN
SOCIETE GENERALE GROUP

8 July 2026

India Financials

India Financials: Metrics that matter

Pranav Gundlapalle
+91 226 842 1407
pranav.gundlapalle@bernsteinsg.com

Ishan Mittal
+91 226 842 1442
ishan.mittal@bernsteinsg.com

Anirudh Gupta
+91 226 842 1456
anirudh.gupta@bernsteinsg.com

India's banking sector enters the 1QFY27 earnings season with macro concerns still dominating sentiment, even as operating fundamentals remain resilient. Recent trends suggest growth, margins and asset quality are holding up better than feared, shifting the focus toward company-specific execution and the sustainability of earnings momentum. In this report, we highlight the key sector debates and stock-specific metrics that we believe matter for the long-term thesis and the relative stock performance over the coming quarters.

Macro risks easing at the margin: India's economy remains resilient, with 7.7% real GDP growth in FY26, inflation remaining in line with RBI's 4% target, and fiscal trends in line with historical norms. While trade deficits, FII outflows and geopolitical uncertainty created near-term pressures, RBI measures and the recent West Asia ceasefire have improved the external outlook, with a **>100bps decline in CD rates helping ease funding costs.**

Banking fundamentals remain resilient despite macro uncertainty: System credit growth remains strong at ~18% YoY, supported by broad-based momentum across industrial, services and secured retail lending. Margin and asset-quality concerns also appear contained, with improving funding conditions, widening loan–deposit spreads and benign credit trends supporting profitability.

Metrics that matter:

-**At a sector level**, margin pressures remain a key monitorable, but widening loan-deposit spreads and rising sector LDRs suggest **limited downside risk to bank margins despite recent macro volatility**.

- Additionally, the **PSB–PVB performance gap** remains a key sector debate, especially as private banks regain earnings momentum while the key drivers of PSB outperformance—surplus liquidity and ultra-low credit costs—begin to fade. We continue to expect a gradual convergence in growth and profitability between PSBs and PVBs over the coming quarters.

Stock-specific metrics: At a stock level, investor attention will remain sharply skewed towards bank-specific priorities: HDFC Bank's ability to translate healthy loan and deposit growth into NII growth while navigating recent leadership changes, ICICI Bank's sustainability of improving loan growth and RoA as credit costs normalize, Axis Bank's margin trajectory and credit-cost sustainability following its sharp re-rating, and Kotak's ability to defend margins amid slower growth and ongoing management transition.

For SBI, the sustainability of strong growth momentum and headline RoA will be key, while continued improvement in credit costs and thus RoA remains the primary monitorable for IndusInd. For Bajaj Finance, the focus will be on further moderation in credit costs and progress in newer lending segments, while receivables growth and mix remain the key drivers for SBI Cards.

For Paytm, net payment margins and momentum in financial services revenue will be critical for the profitability narrative, while for AHFCs, continued improvement in disbursement growth and asset quality will remain the key indicators to watch.

First Published: 07 Jul 2026 21:00 UTC Completion Date: 07 Jul 2026 11:52 UTC

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Jul 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Reported EPS 2026A	Reported EPS 2027E	Reported EPS 2028E	Reported P/E (x) 2026A	Reported P/E (x) 2027E	Reported P/E (x) 2028E
HDFCB.IN (HDFC Bank)	O	INR	829.85	1,150.00	(54.7)%	INR	48.51	54.51	63.27	2.3	2.0	1.8
ICICIBC.IN (ICICI Bank)	M	INR	1,426.90	1,550.00	(39.7)%	INR	69.20	77.81	89.17	2.8	2.5	2.2
AXSB.IN (Axis Bank)	O	INR	1,339.60	1,600.00	(24.2)%	INR	78.61	98.88	117.90	1.9	1.7	1.5
KMB.IN (Kotak)	M	INR	381.30	500.00	(49.7)%	INR	14.08	16.33	19.13	2.1	1.9	1.7
SBIN.IN (SBI)	M	INR	1,037.70	1,300.00	(9.3)%	INR	87.59	91.92	101.79	1.6	1.4	1.3
IIB.IN (IndusInd)	O	INR	1,009.80	1,000.00	(17.6)%	INR	11.98	46.83	67.10	1.2	1.1	1.1
SBICARD.IN (SBI Cards)	U	INR	603.50	610.00	(72.3)%	INR	22.77	26.52	33.08	26.5	22.8	18.2
BAF.IN (Bajaj Finance)	U	INR	1,029.10	840.00	(26.6)%	INR	30.60	39.78	47.83	33.6	25.9	21.5
PAYTM.IN (PayTM)	O	INR	1,218.20	1,500.00	(3.7)%	INR	8.66	24.32	42.50	140.7	50.1	28.7
AADHARHF.IN (Aadhar)	O	INR	556.50	610.00	(19.1)%	INR	24.76	30.12	36.67	22.5	18.5	15.2
AAVAS.IN (Aavas)	M	INR	1,514.00	1,440.00	(58.5)%	INR	82.14	95.66	111.72	18.4	15.8	13.6
APTUS.IN (Aptus)	O	INR	285.50	340.00	(50.8)%	INR	18.84	20.70	26.03	15.2	13.8	11.0
HOMEFIRS.IN (Home First)	O	INR	1,191.10	1,450.00	(53.0)%	INR	51.59	66.18	79.46	23.1	18.0	15.0
PNBHOUSI.IN (PNB Housing Finance)	M	INR	1,089.80	960.00	(37.0)%	INR	87.80	87.55	101.14	12.4	12.4	10.8
ASIAX			1,979.72									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended
HDFCB.IN, ICICIBC.IN, AXSB.IN, KMB.IN, SBIN.IN, IIB.IN valuation is P/B (x);
Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate HDFC Bank, Axis Bank and IIB as Outperform; ICICI Bank, SBI and KMB as Market-Perform. Among non-banks, we rate Paytm as Outperform ; Bajaj Finance and SBI Cards as Underperform. Within AHFCs, we rate Aadhar, Homefirst and Aptus as Outperform, Aavas and PNBHF as Market-Perform.

Links to other recent reports:

6 Jul 2026 - India Financials: Can ICICI follow Axis?

4 Jul 2026 - Quick Take: HDFCB 1Q27- The balancing act continues

24 Jun 2026 - India Financials: Is a banking license worth it?

17 Jun 2026 - India Financials: How retail underwriting works - Key takeaways from our webinar

17 Jun 2026 - India Payments: MDR on UPI — Déjà vu, but this time closer?

10 Jun 2026 - India Financials: PVBs vs. PSBs (4/n) – Beginning of the End of Outperformance

10 Jun 2026 - RBI's FCNR Push: Implications for Banks, Bonds and the INR

8 Jun 2026 - India Financials: Do PVBs have an underwriting edge in retail lending?

4 Jun 2026 - India Financials: Where are the margins headed? (1/n)

2 Jun 2026 - Kotak: Takeaways from management interaction

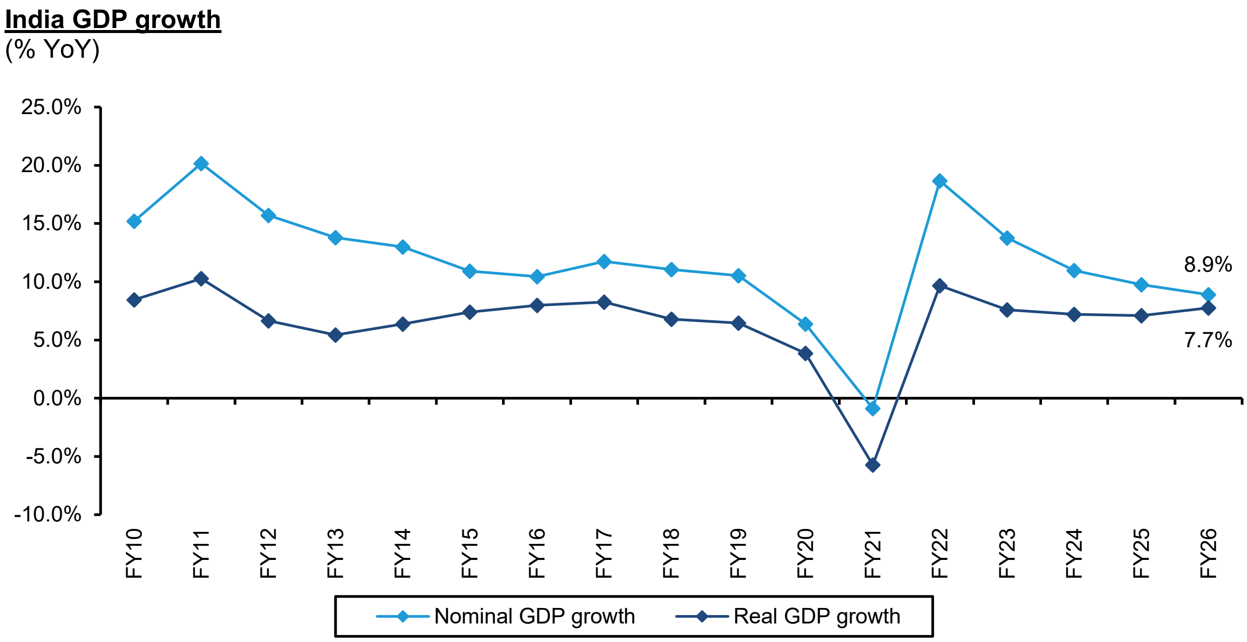
26 May 2026 - India Financials: AHFCs- The tide begins to turn

DETAILS

THE MACRO BACKDROP

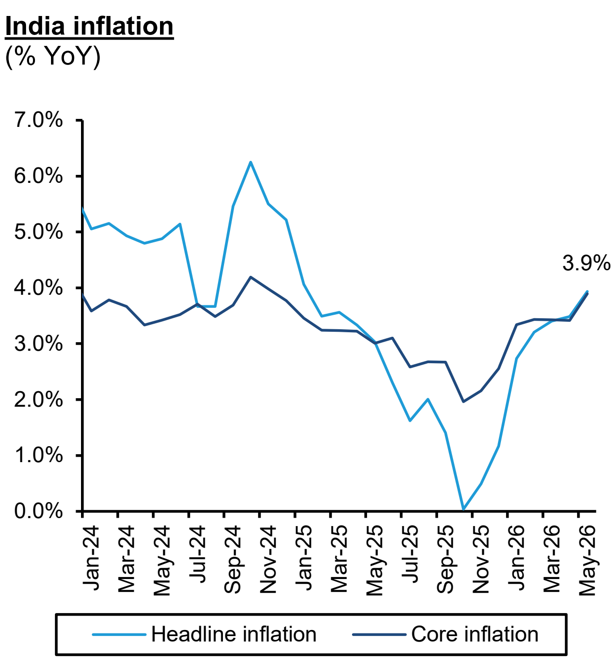
- India's economy maintained a healthy growth trajectory in FY26, with real GDP expanding by 7.7%, reflecting continued resilience in economic activity. However, a sharp moderation in inflation during the year led to a significant decline in nominal growth, which slowed to 8.9% (Exhibit 1).
- Inflation has since begun to trend higher, driven primarily by a rebound in food prices, with both headline and core inflation converging towards the RBI's 4% target. Although inflation expectations rose sharply following the West Asia conflict, the recent ceasefire is expected to ease concerns and support a moderation in inflation expectations going forward (Exhibit 2, Exhibit 3).
- On the external front, India's merchandise trade deficit has remained elevated at ~$28 Bn in recent months, although a services trade surplus of ~$18 Bn has helped offset part of the resulting current account pressures. While sustained FII outflows have continued to weigh on the INR, RBI's recently announced measures (link) are expected to drive meaningful dollar inflows, thereby easing balance of payments (BoP) pressures and improving the external sector outlook for FY27 (Exhibit 4-Exhibit 6).
- On the fiscal front, government expenditure and tax collections have remained broadly in line with historical trends in the early part of the year (Exhibit 7, Exhibit 8).
  - However, incremental demand for government securities from banks moderated in FY26, as reflected in their declining share of the outstanding G-sec stock. In our view, this partly reflects the relaxation of LCR requirements, which has reduced the need for banks to hold high-quality liquid assets (Exhibit 9).
  - As a result, RBI emerged as the marginal buyer through large-scale open market operations (OMOs), driving its share of outstanding government securities to a multi-year high of 18% (Exhibit 10).
- **Amid an increasingly challenging macro environment, the recent ceasefire announcement triggered a relief rally across domestic fixed-income markets, with the 12-month CD rate declining by >100bps from the peak levels reached during the height of the West Asia conflict.** The sharp correction has helped ease funding costs and improve liquidity conditions across the banking system (Exhibit 11).

EXHIBIT 1: **India's economy maintained a healthy growth trajectory in FY26, with real GDP expanding by 7.7%, reflecting continued resilience in economic activity**



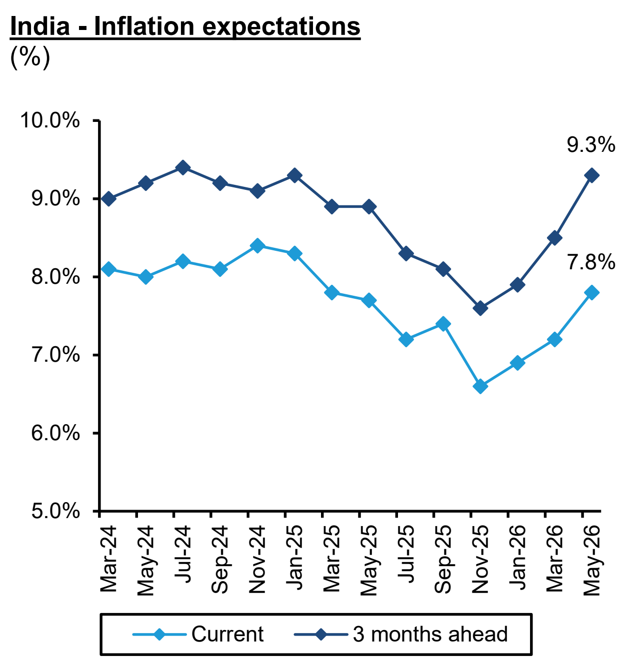
Source: HAVER, Bernstein analysis

EXHIBIT 2: **Inflation has begun to trend higher, with both headline and core inflation converging at ~4%**



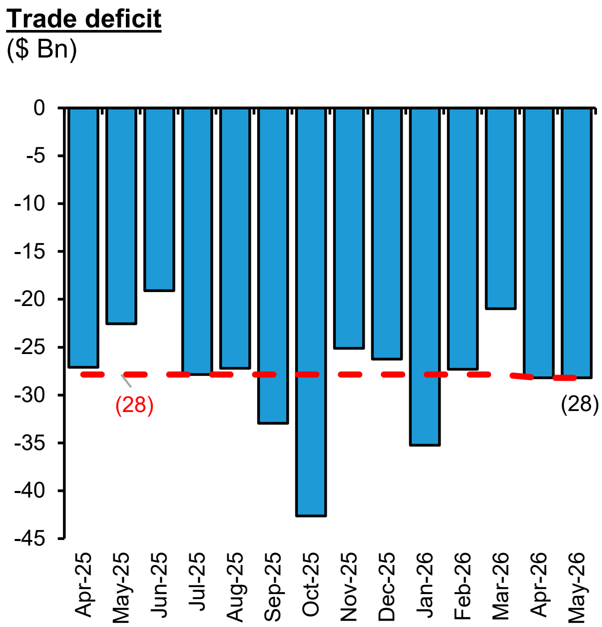
Source: HAVER, Bernstein analysis

EXHIBIT 3: **Although inflation expectations rose sharply following the West Asia conflict, the recent ceasefire is expected to ease concerns and support a moderation in inflation expectations**



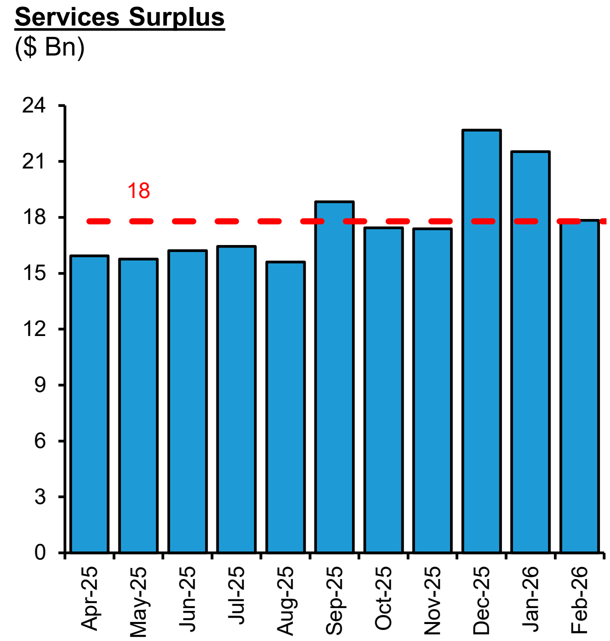
Source: RBI, Bernstein analysis

EXHIBIT 4: **India's merchandise trade deficit has remained elevated at ~$28 Bn in recent months...**



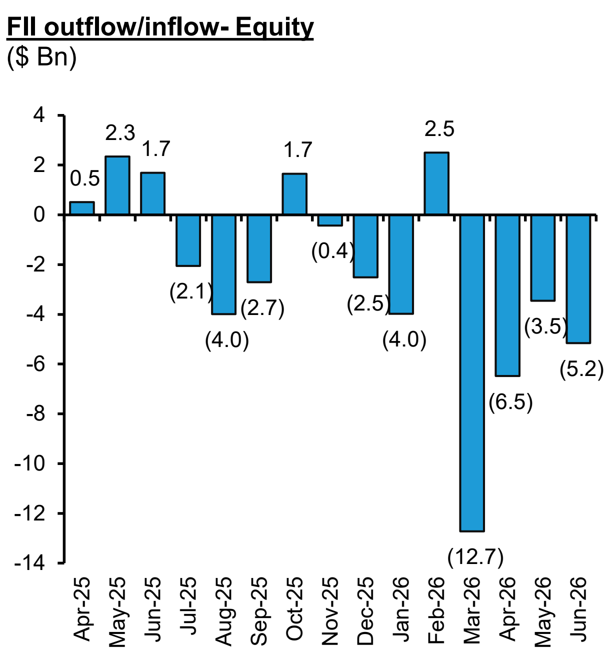
Source: HAVER, Bernstein analysis

EXHIBIT 5: **...although a services trade surplus of ~$18 Bn has helped offset part of the resulting current account pressures**



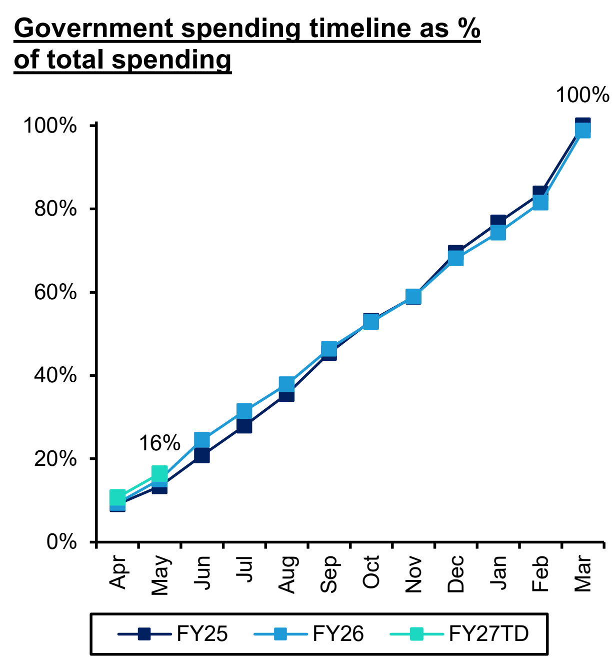
Source: HAVER, Bernstein analysis

EXHIBIT 6: **Sustained FII outflows have continued to weigh on the INR**



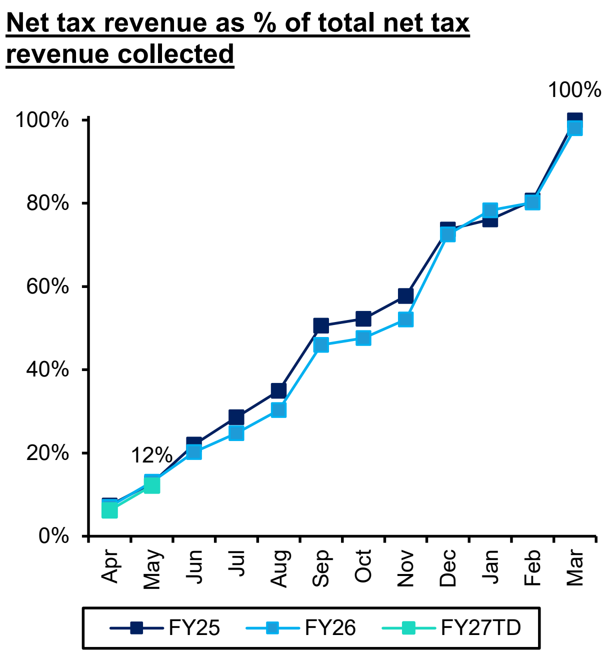
Source: NSDL, HAVER, Bernstein analysis

EXHIBIT 7: **Government expenditure has remained broadly in line with historical trends in the early part of the year...**



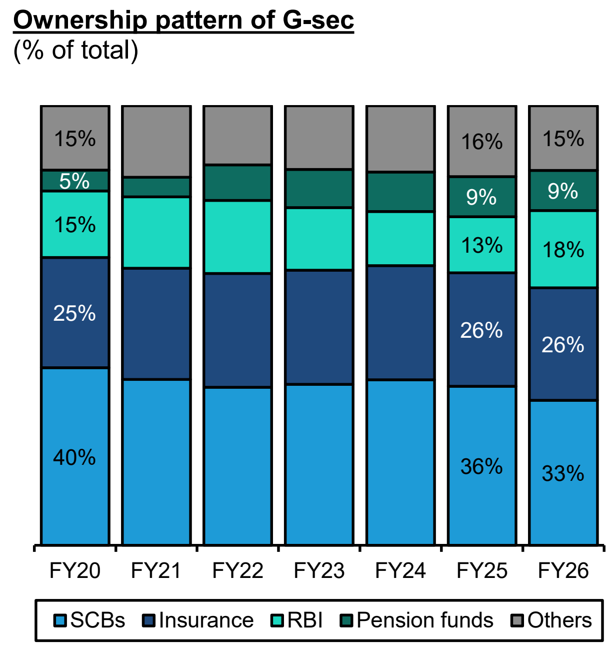
Source: HAVER, Bernstein analysis

EXHIBIT 8: **...and a similar trend for tax collections**



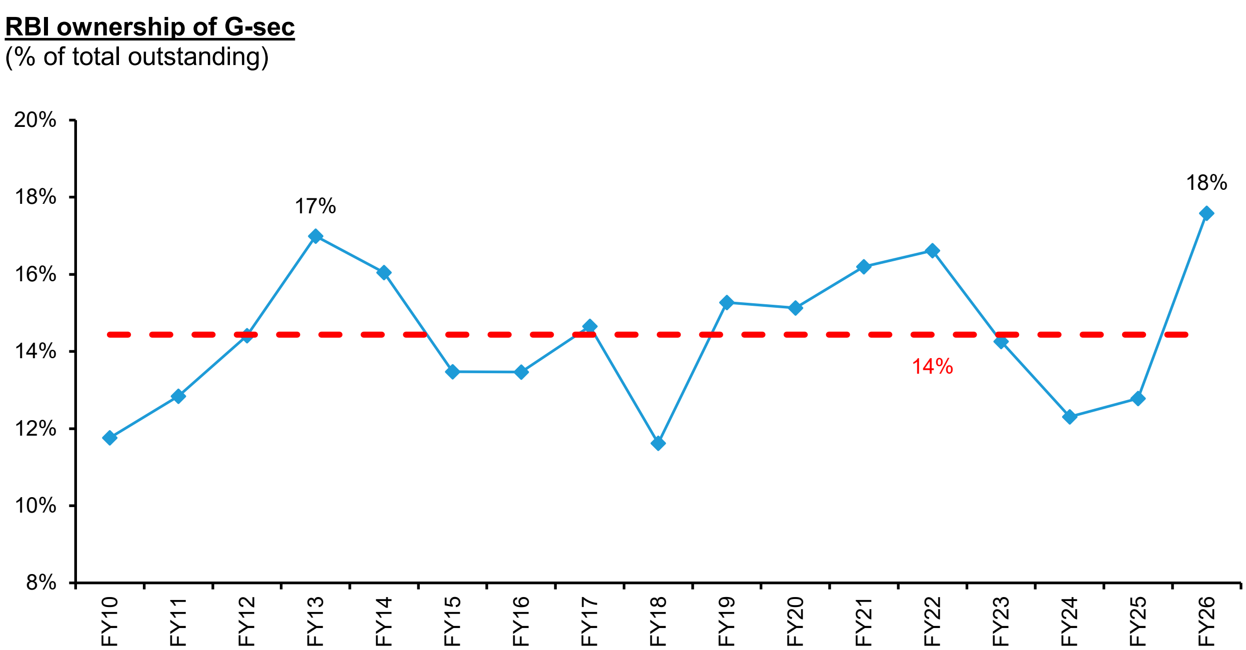
Source: HAVER, Bernstein analysis

EXHIBIT 9: **Incremental demand for government securities from banks moderated in FY26, as reflected in their declining share of the outstanding G-sec stock**



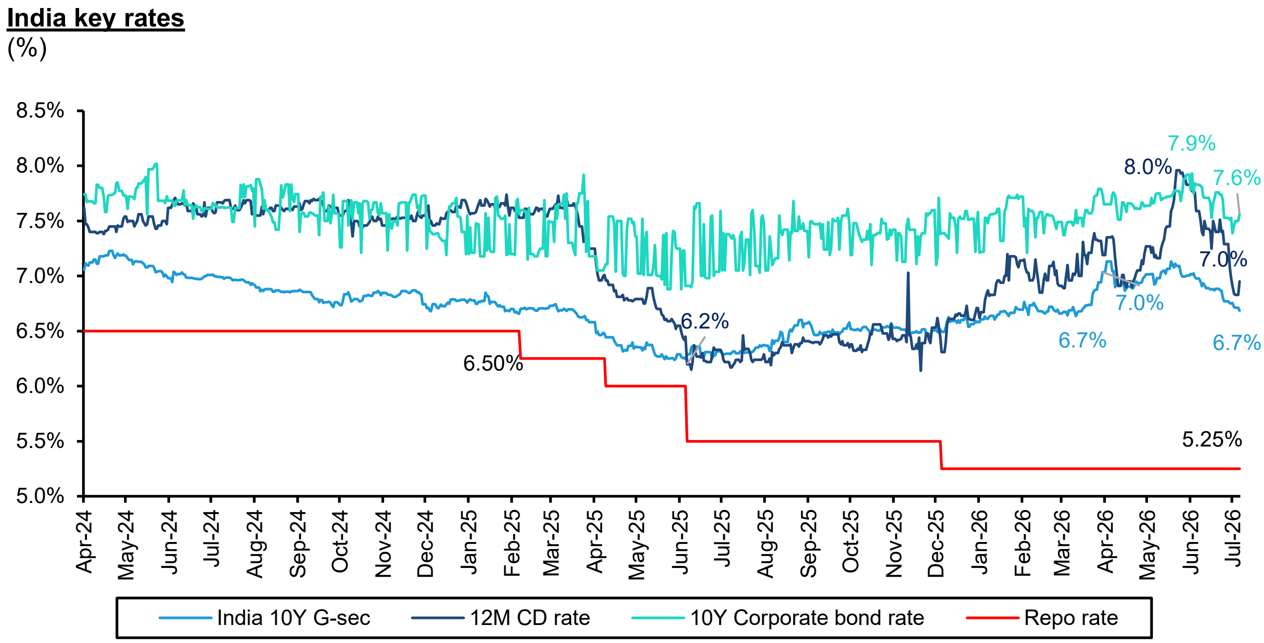
Source: HAVER, Bernstein analysis

EXHIBIT 10: **As a result, RBI emerged as the marginal buyer through large-scale open market operations (OMOs), driving its share of outstanding government securities to a multi-year high of 18%**



Source: HAVER, Bernstein analysis

EXHIBIT 11: **The recent ceasefire announcement triggered a relief rally across domestic fixed-income markets, with the 12-month CD rate declining by >100bps from the peak levels reached during the height of the West Asia conflict**



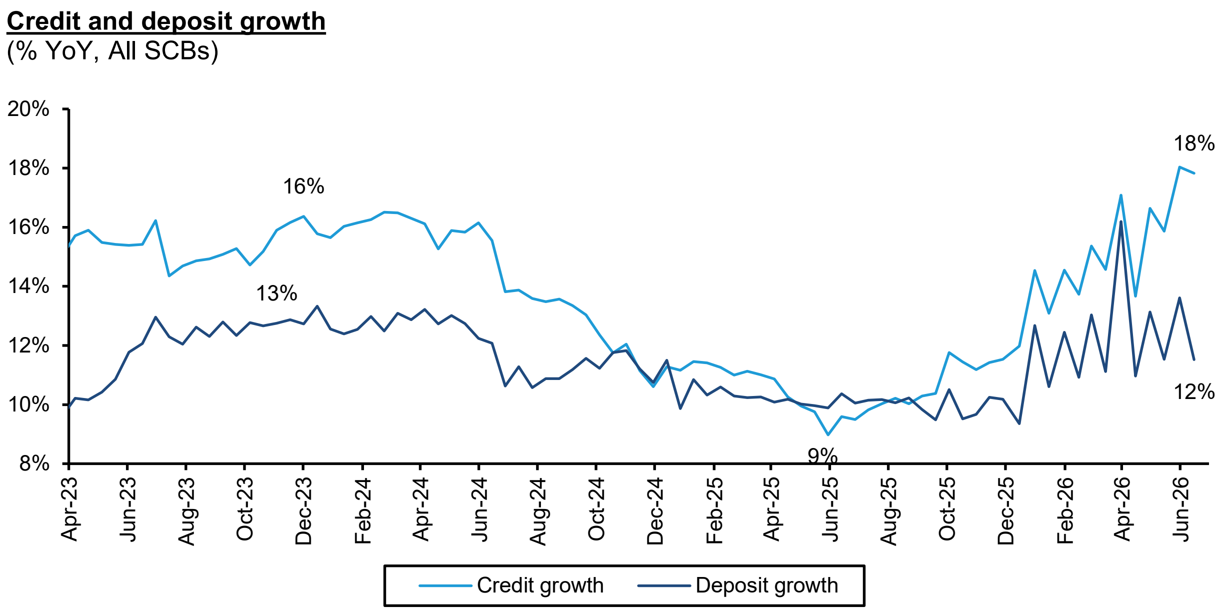
Source: Bloomberg, Bernstein analysis

BANKING SECTOR

- Credit growth in the Indian banking system remained resilient despite heightened geopolitical uncertainty, with aggregate bank credit expanding by ~18% YoY (as of the fortnight ended 15 June 2026). The strength in system-wide credit growth has also been reflected in the provisional business updates released by banks, with most lenders reporting healthy credit growth during the quarter (Exhibit 12, Exhibit 13).
  - The recovery in system credit growth has been broad-based across segments, with the strongest momentum visible in industrial and services lending (Exhibit 14).
  - Within industrial credit, MSME lending continues to exhibit robust growth of over 20% YoY, while large corporate lending has also shown signs of improvement, with growth rising to ~14% YoY as of May'26.
  - In the services segment, lending to NBFCs remains a key driver of growth, with bank credit to NBFCs expanding by more than 30% YoY in May'26.
  - Personal loan growth has also improved modestly, led primarily by secured products such as housing and auto loans. In contrast, unsecured segments continue to remain weak, with credit card debt growing at less than 2% YoY and spending growth moderating to 11% in May'26, despite a marginal pickup in card additions. Overall, consumer sentiment remains subdued amid a challenging macro backdrop, as reflected in consumer confidence indicators, even as UPI transaction values continue to grow at >25% YoY (Exhibit 15-Exhibit 18).
- On margins, term deposit rates moderated during Apr–May'26 after witnessing a sharp increase in March, while fresh loan yields saw a marginal uptick. Although CD issuance rebounded following a softer May, **we do not see any material margin risk arising from the higher issuance**, particularly given the recent decline in CD (>100 bps) and the relatively low share of CDs in overall deposits. Additionally, the widening gap between loan yields and deposit rates is expected to provide a cushion against any potential pressure from CD funding costs (Exhibit 19-Exhibit 23).

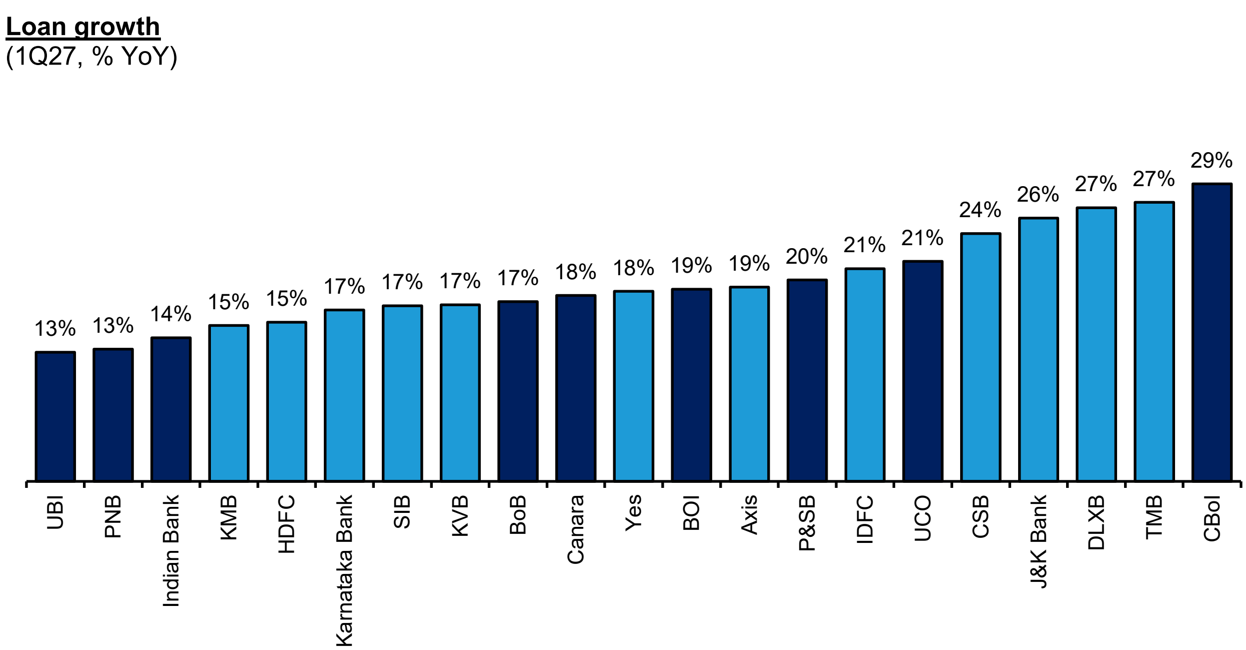
- Asset quality trends are expected to remain largely benign in the current quarter, broadly in line with the trends witnessed during the last few quarters (Exhibit 24).
- Despite improving growth momentum and a stable margin outlook, the recent challenges in the macro environment have resulted in the banking sector continuing to trade at a discount to the broader NIFTY index (Exhibit 25).

EXHIBIT 12: **Credit growth in the Indian banking system remained resilient, with aggregate bank credit expanding by ~18% YoY**



Source: RBI, Bernstein analysis

EXHIBIT 13: **The strength in system-wide credit growth has also been reflected in the provisional business updates released by banks**



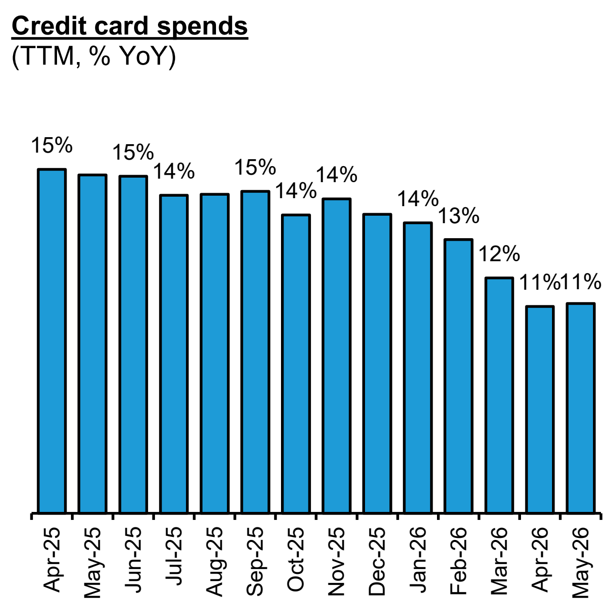
Source: Company reports, Bernstein analysis

EXHIBIT 14: **The recovery in system credit growth has been broad-based across segments, with the strongest momentum visible in industrial and services lending**

Banking credit growth (% YoY)	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Agri	7.5%	6.8%	7.3%	7.6%	9.0%	8.9%	8.7%	12.1%	11.4%	12.3%	15.6%	13.7%	14.9%
Industry	5.3%	6.3%	6.5%	7.0%	7.8%	10.0%	9.6%	12.8%	12.1%	13.5%	15.0%	15.1%	17.5%
ow: Micro and small	13.7%	19.2%	20.9%	20.8%	22.0%	25.9%	24.6%	30.4%	31.2%	30.4%	32.7%	30.1%	26.2%
ow: Medium	16.9%	13.2%	15.0%	13.3%	14.5%	17.6%	15.7%	20.4%	22.3%	21.0%	21.8%	19.9%	21.2%
ow: Large	1.5%	2.0%	1.6%	2.4%	3.0%	4.6%	4.6%	6.9%	5.5%	7.8%	9.1%	10.0%	14.4%
Services	8.4%	8.8%	10.2%	10.3%	9.8%	13.0%	11.7%	15.4%	15.5%	16.3%	19.0%	18.6%	20.4%
ow: Trade	10.4%	10.7%	12.8%	12.3%	11.7%	13.8%	14.2%	17.5%	16.1%	14.4%	16.2%	13.4%	17.3%
ow: To NBFCs	1.0%	3.1%	3.0%	3.7%	3.9%	10.9%	9.5%	15.1%	17.8%	20.9%	26.6%	27.7%	33.7%
Personal	11.1%	11.7%	11.9%	11.9%	11.8%	14.0%	12.8%	14.6%	14.9%	15.2%	16.2%	16.0%	15.4%
ow: Housing	9.0%	9.6%	9.6%	9.7%	10.1%	11.0%	9.9%	11.1%	11.1%	11.0%	11.5%	11.4%	10.9%
ow: Credit card	8.5%	7.2%	5.6%	4.4%	3.7%	7.7%	2.4%	1.0%	1.5%	1.7%	3.6%	3.8%	1.3%
ow: Vehicle loans	8.7%	9.2%	8.9%	8.7%	7.3%	12.5%	12.4%	16.7%	17.1%	17.1%	18.6%	18.0%	17.3%
ow: Unsecured	7.4%	7.1%	7.3%	7.1%	6.8%	9.6%	7.8%	9.8%	9.9%	10.4%	11.4%	11.3%	10.7%

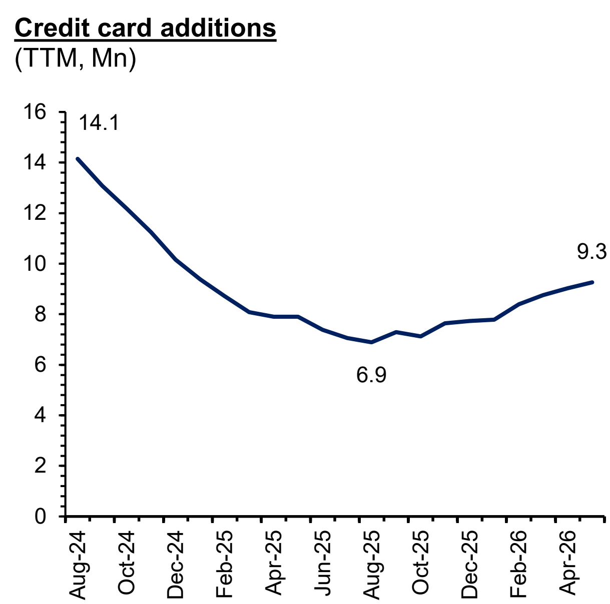
Source: HAVER, Bernstein analysis

EXHIBIT 15: **Credit card debt and spending continue to remain weak...**



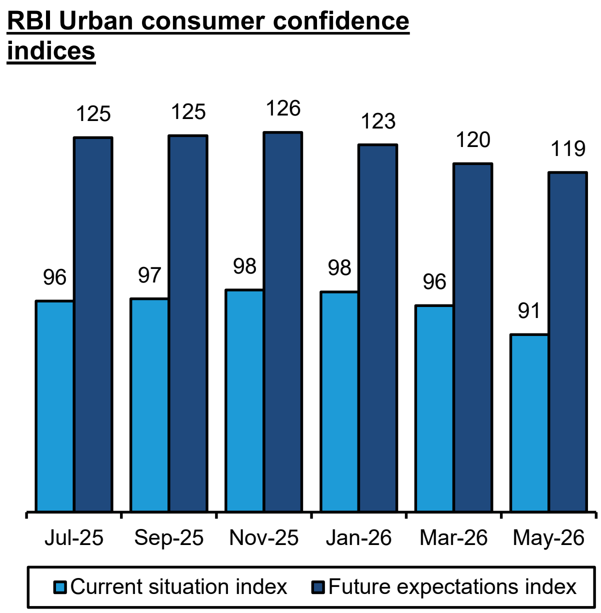
Source: HAVER, Bernstein analysis

EXHIBIT 16: **...despite a marginal pickup in card additions**



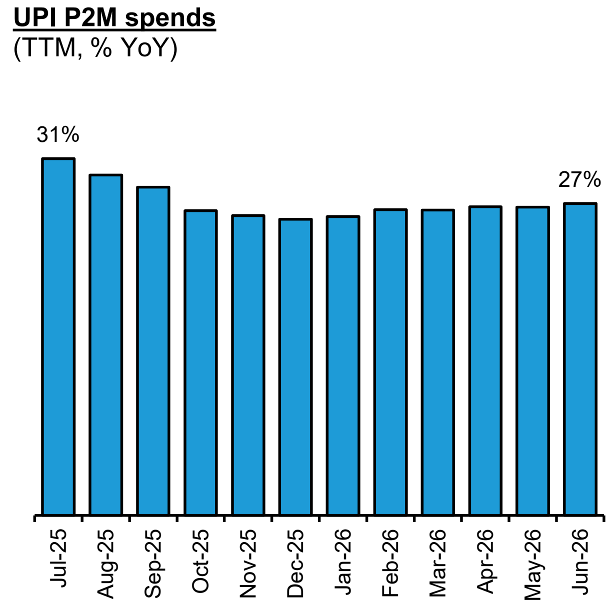
Source: HAVER, Bernstein analysis

EXHIBIT 17: **Consumer sentiment remains subdued amid a challenging macro backdrop...**



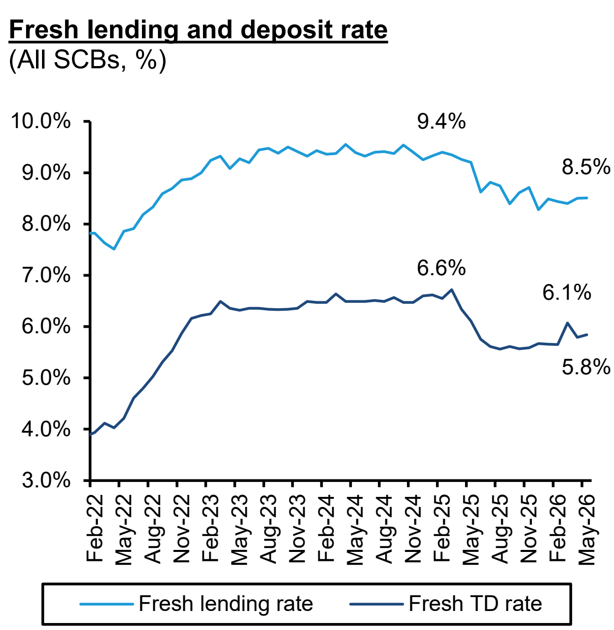
Source: RBI, Bernstein analysis

EXHIBIT 18: **...even as UPI transaction values continue to grow at >25% YoY**



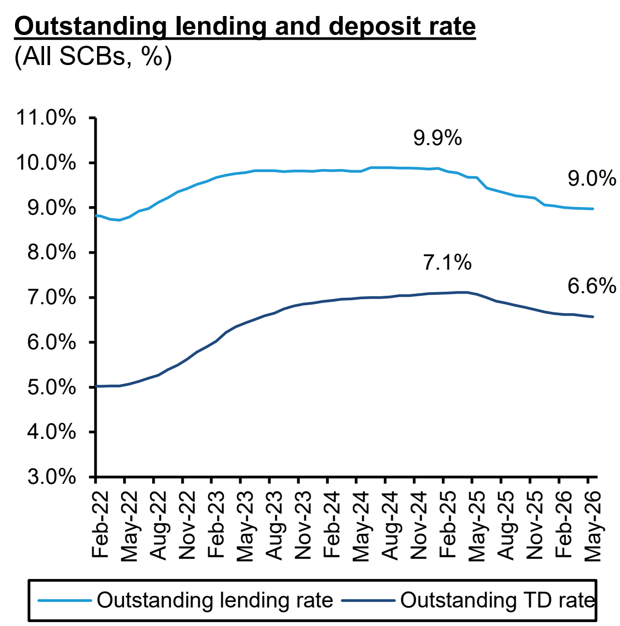
Source: HAVER, NPCI, Bernstein analysis

EXHIBIT 19: **Fresh TD rates moderated during Apr–May'26 after witnessing a sharp increase in March, while fresh loan yields saw a marginal uptick**



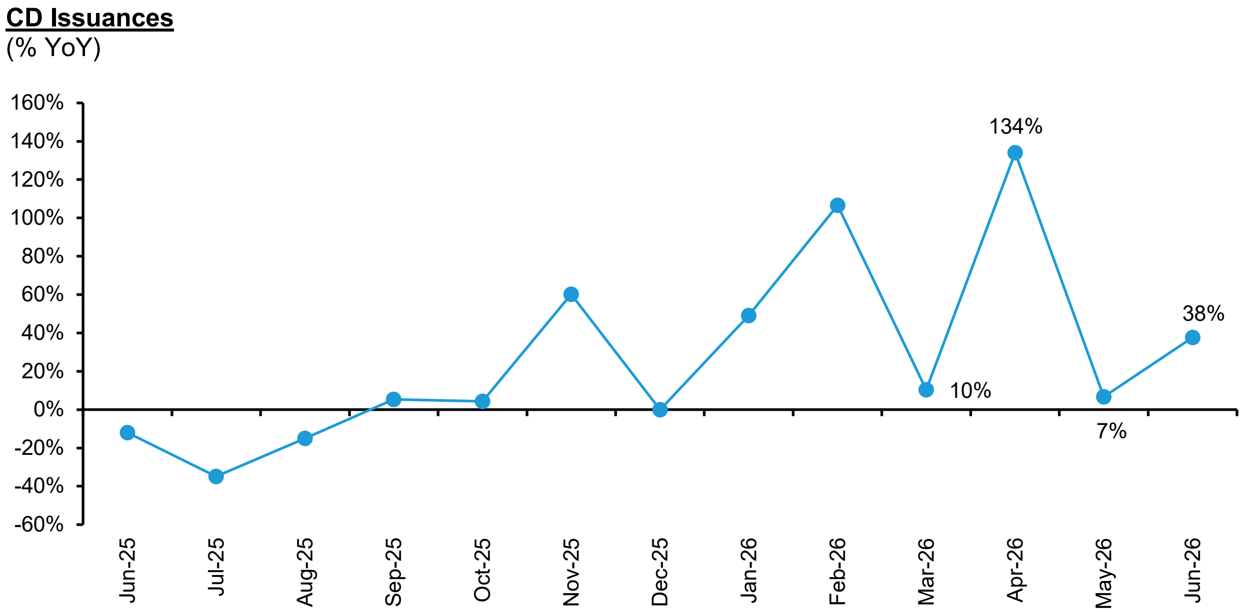
Source: RBI, Bernstein analysis

EXHIBIT 20: **Outstanding TD rates and loan yields have flattened over the last few months**



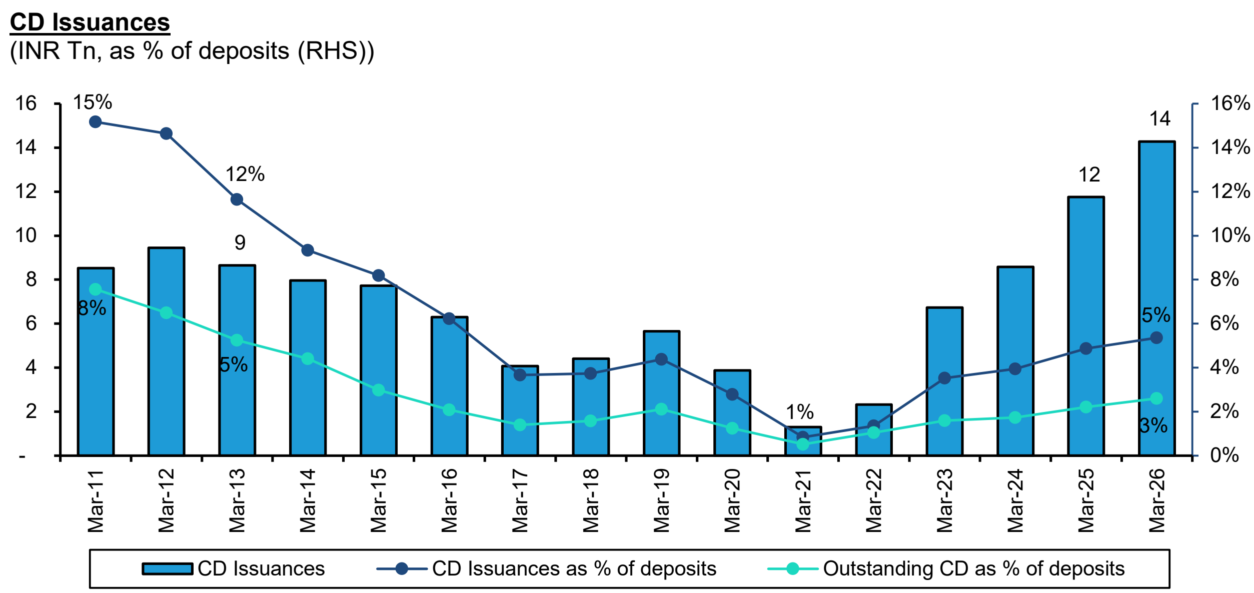
Source: RBI, Bernstein analysis

EXHIBIT 21: **Although CD issuance rebounded in June following a softer May...**



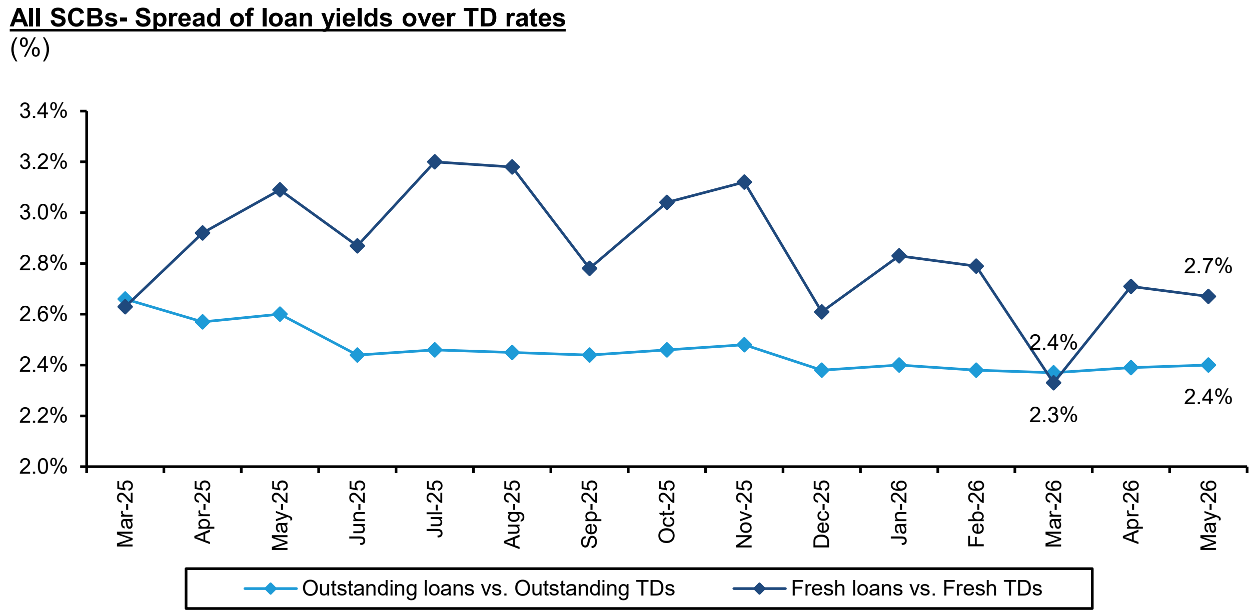
Source: CCIL, Bernstein analysis

EXHIBIT 22: **...we do not see any material margin risk arising from the higher issuance, particularly given the relatively low share of CDs in overall deposits**



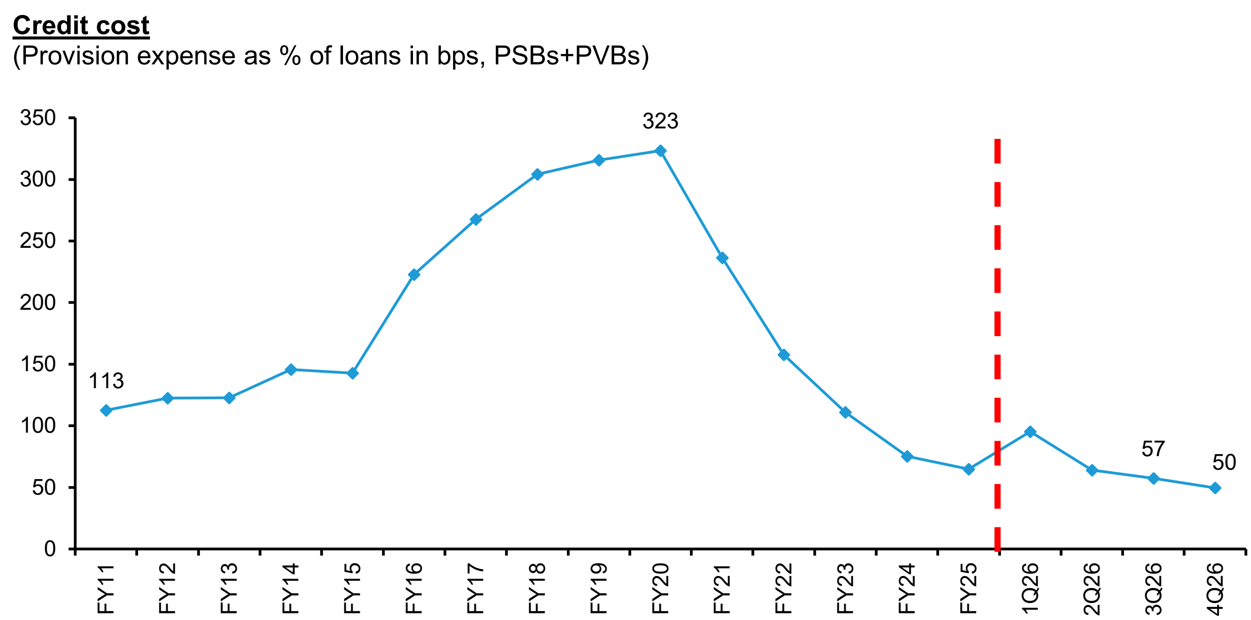
Source: RBI, CCIL, Bernstein analysis

EXHIBIT 23: **Additionally, the widening gap between loan yields and deposit rates is expected to provide a cushion against any potential pressure from CD funding costs**



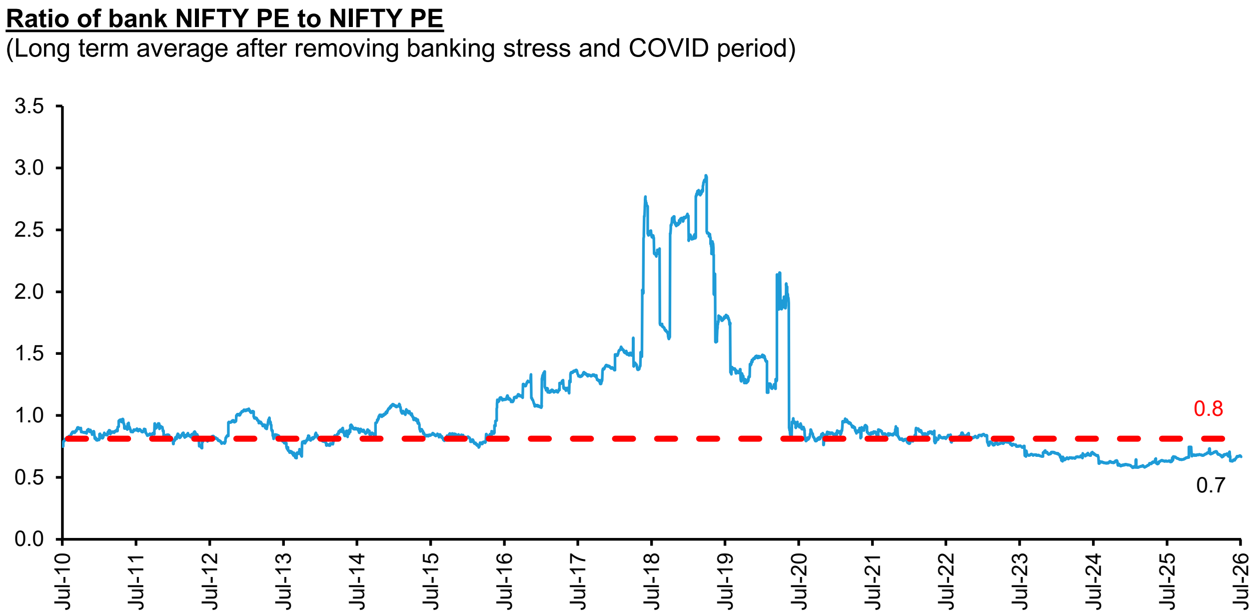
Source: RBI, Bernstein analysis

EXHIBIT 24: **Asset quality trends are expected to remain largely benign in the current quarter, broadly in line with the trends witnessed during the last few quarters**



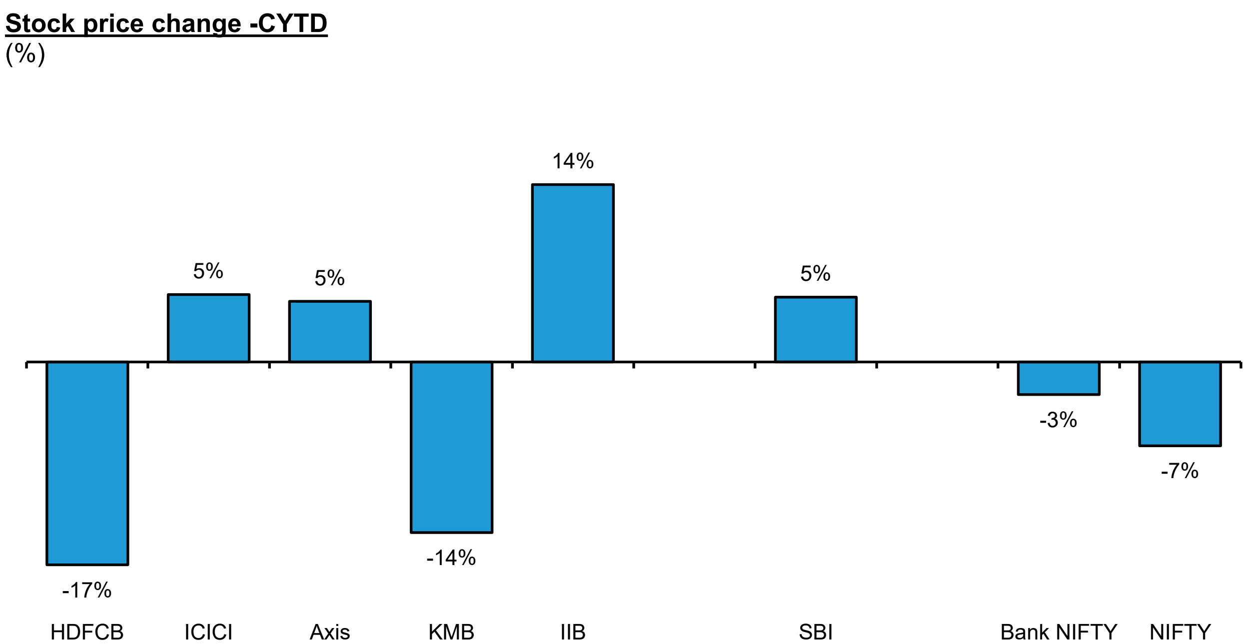
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 25: **Despite improving growth momentum and a stable margin outlook, the recent challenges in the macro environment have resulted in the banking sector continuing to trade at a discount to the broader NIFTY index**



Source: Bloomberg, Bernstein analysis

EXHIBIT 26: **The banking sector has continued to demonstrate relative resilience, with Bank NIFTY down 3% YTD versus a 7% decline in the broader NIFTY index**



Source: Bloomberg, Bernstein analysis

METRICS THAT MATTER

SECTOR CONTROVERSIES

During the upcoming quarterly results season, we expect the focus at a sector level to remain on the following trends:

- **Margin implications of macro developments:** While sector credit growth has remained resilient despite elevated uncertainty, the impact of recent macro developments on bank margins remains an important area to watch. That said, the widening spread between loan yields and deposit rates, along with the continued rise in sector loan-to-deposit ratios (LDRs), suggests limited downside risk to sector margins in 1QFY27 (Exhibit 27,Exhibit 28).

- **PSBs vs. PVBs:** The outperformance of PSBs began to show signs of moderation in 4QFY26, with PVBs regaining earnings momentum after an extended period of weaker growth, although PSBs continued to deliver higher overall growth. With the key drivers of PSB outperformance—surplus liquidity and ultra-low credit costs—nearing exhaustion, we continue to expect a gradual convergence in performance between PSBs and PVBs over the next few quarters (Exhibit 29-Exhibit 31).

STOCK SPECIFIC CONTROVERSIES

HDFCB

HDFC Bank's 1QFY27 provisional update portrayed a continued effort by the bank to strike a balance between delivering "healthy enough" loan growth while keeping the LDR largely unchanged (both YoY and QoQ). For the current earnings, investor focus is expected to be likely on:

- **NII growth:** HDFCB reported healthy growth of ~15% in both loans and deposits for 1Q27, with deposit growth continuing to be driven by term deposits and credit growth benefiting from the broader recovery in system lending. While the headline business numbers suggest that the bank should be able to maintain NIMs within a relatively tight range, a lower growth in average loan and deposit balances means that NII growth could lag the headline expansion in loans and deposits, especially if there was a cost of funds pressure during the quarter (Exhibit 32).

- **Commentary on leadership changes:** HDFC Bank has witnessed a number of leadership changes in recent months, including the appointment of Mr. Rajeev Kumar as part-time chairman and Mr. Puneet Sharma as CFO-designate, while the reappointment of the current CEO is yet to be confirmed. With the independent law firm reviews concluding no material deficiencies in governance or board processes, investor focus is likely to shift towards the new leadership team and any strategic priorities or organizational changes that may emerge under the revised management structure.

ICICI

ICICI Bank's 4Q26 results addressed a key investor concern on loan growth, with the bank delivering 16% YoY growth after several quarters of lagging the system. For the current earnings, investor focus is expected to be likely on:

- **Loan growth:** Growth momentum for ICICI has continued to improve over the last two quarters, supported by an early recovery in non-mortgage retail lending. Sustaining this trajectory in 1QFY27 will be a key area of focus, particularly given the absence of any meaningful balance sheet constraints, with the bank continuing to maintain stronger LCR and LDR metrics than most peers (Exhibit 33, Exhibit 34).

- **Headline RoA:** ICICI Bank's RoA expanded to 2.4% in 4QFY26, aided by exceptionally low credit costs during the quarter, which the bank attributed to higher recoveries and write-backs. The focus will hence turn to sustainable credit costs, as a normalization towards a range of ~30–40bps could potentially reduce RoA by 25–30bps (Exhibit 35, Exhibit 36).

AXIS

Axis has seen a sharp re-rating, both in absolute terms and, more importantly, relative to peers like ICICI over the last 3–4 quarters. The sharp pickup in growth has likely been the biggest driver, and Axis has continued to build on that momentum, delivering ~19% YoY growth in 1Q27—comfortably ahead of peers such as HDFC and KMB and well above system growth

(Exhibit 37). The focus from earnings is hence shift on:

- **NIM:** Axis' stronger growth over the past few quarters has come at the expense of margins, particularly given the higher contribution from corporate lending. As a result, Axis has experienced the sharpest NIM compression among the top four private-sector banks during the current rate-cut cycle, making margin trends a key area of focus for the quarter (Exhibit 38).

- **Credit cost trajectory:** Asset quality metrics improved meaningfully in 4QFY26, reflected in a sharp decline in credit costs during the quarter. Given the bank's historically uneven credit cost trajectory, investors are likely to focus on the sustainability of this improvement. A continuation of healthy asset quality trends and lower credit costs could provide further support to the stock's re-rating (Exhibit 39).

KOTAK MAHINDRA BANK

KMB's 1Q27 provisional business update pointed towards a weak growth quarter, with credit growth at 15% and the deposit growth especially weak at 12%. The focus during the current earnings release is likely to be on:

- **NIM:** Kotak's relatively slower growth in 1QFY27 points to a potential trade-off between growth and margins. This assumes greater significance as the bank had recently started delivering NIM outcomes that were in line with, or better than, peers after a prolonged period of relative underperformance. As a result, the sustainability of margin gains will remain a key area of focus, with continued NIM resilience potentially helping to support RoA and offset concerns around softer growth (Exhibit 40-Exhibit 42).

- **Management transition:** Investor focus is also likely to remain on leadership succession, following the announcement that current CEO Mr. Ashok Vaswani will not seek reappointment after the expiry of his term on 31 December 2026. As a result, attention is expected to shift once again towards the management transition process and the bank's plans for leadership continuity.

STATE BANK OF INDIA

SBI delivered a mixed performance in 4QFY26, with loan growth accelerating to ~17% YoY, while NIM declined by ~18bps QoQ to 2.93%, the steepest decline amongst large banks. The focus during the current earnings is likely to remain on:

- **Growth momentum:** SBI has maintained a healthy growth trajectory over the last few quarters, consistently delivering loan growth ahead of both ICICI Bank and HDFC Bank (Exhibit 43). With LDR now above 80% and LCR declining sharply to 124% in 4QFY26 from 138% in 3QFY26, the sustainability of this growth momentum is likely to remain a key monitorable (Exhibit 44, Exhibit 45).

- **NIMs**: SBI retained its FY27 NIM guidance of over 3%, despite reporting the sharpest NIM compression among major banks in 4QFY26. As a result, margin trends and their implications for sustaining a 1%+ RoA are likely to remain under scrutiny.

INDUSIND BANK

IndusInd Bank's 4Q26 performance reflected early but visible signs of stabilization, with improvement across asset quality, balance sheet trends, and profitability. The focus during the current earnings is likely to be on:

- **Asset quality:** IndusInd's 1Q27 provisional update indicated continued improvement in growth metrics, with gradual normalization underway in both loan and deposit growth. Given the broad-based moderation in portfolio stress seen in 4QFY26, a continuation of similar asset quality trends would be a key positive for the stock (Exhibit 46-Exhibit 48).

BAJAJ FINANCE

Bajaj Finance saw a sharp decline in credit costs in 4Q26, with the management indicating further moderation in credit costs for FY27. For the current earnings, focus is likely to be on:

- **Credit cost:** BAF's management guided for FY27 credit costs in the range of 1.45–1.60%. Adjusting for the change in credit cost presentation, the comparable 4QFY26 run-rate stood at ~165bps, implying scope for further moderation. The credit cost trajectory, particularly in the context of continued healthy growth trends, will remain a key monitorable (Exhibit 49).

- **Progress in newer segments:** With headline AUM growth at 24% YoY for 1Q27, focus will likely shift to the newer segments. Segments such as MFI and gold loans, which now account for ~5% of the total portfolio, continue to see strong traction, albeit off a lower base (Exhibit 50). With BAF facing market share ceilings in some of its traditional lending products, progress in these newer segments will remain a key monitorable for sustaining higher growth.

SBI CARDS

SBI Cards' 4Q26 was a quarter where headline earnings growth was supported entirely by improving asset quality, even as the underlying business drivers continued to weaken, with receivables growth declining to 2% YoY. With credit costs having shown signs of moderation over the past 2 quarters, the focus is likely to turn to:

- **Receivables growth and mix:** Credit cost decline for SBI Cards is already factored in and the only metric that would matter is the growth in total receivables, especially the interest earning assets (and within that the revolvers). Any adverse movement in these metrics could weigh on the stock (Exhibit 51, Exhibit 52).

PAYTM

Paytm delivered an inline quarter in 4Q26, as lower payment margins (post discontinuation of PIDF incentives and non-recognition of UPI incentives during the quarter) was offset by stronger financial services revenue. For the current quarter, the focus is therefore likely to be on:

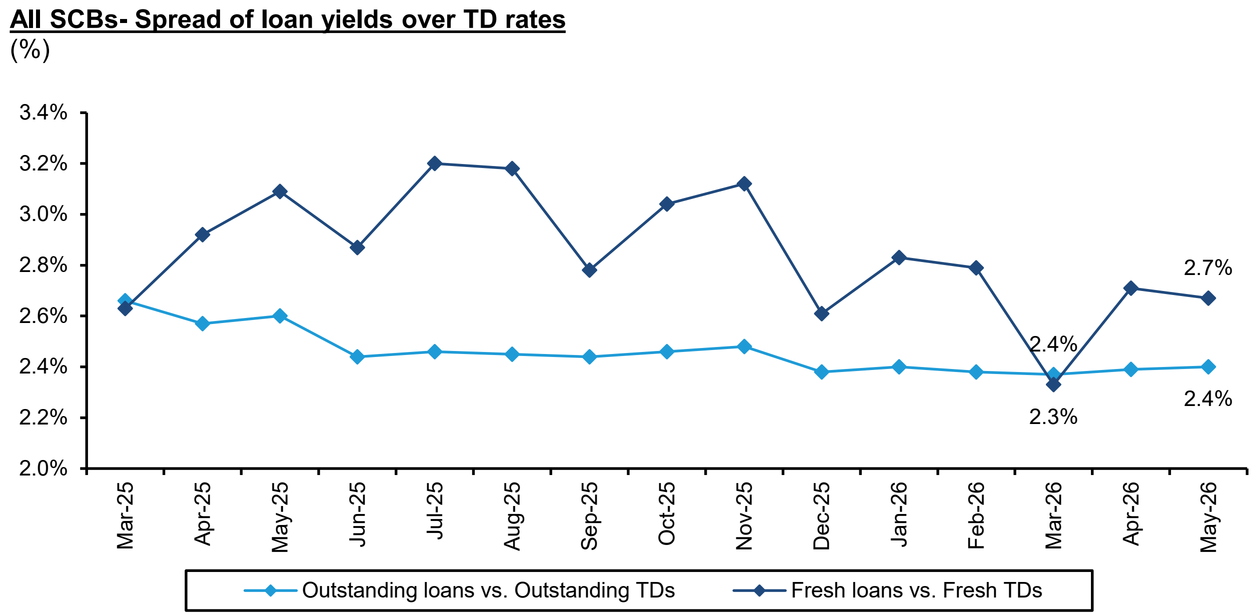
- **Net payments margin:** Paytm's net payment margin (NPM) declined to 9 bps in 4Q26 (vs. 9.6 bps in 3Q26), reflecting the (known) PIDF discontinuation and no UPI incentive accrual during the quarter, resulting in a 3% QoQ decline in net payments margin, despite 5% QoQ GMV growth. The trajectory of net payments margins would therefore remain a key trend to watch out for during the quarter (Exhibit 53).

- **Momentum in financial services:** Strong growth in financial services revenue, along with continued cost control, has been a key driver of Paytm's ability to maintain positive EBITDA despite pressure on payment margins. Sustained momentum in financial services revenue would further strengthen the case for a more sustainable profitability profile (Exhibit 54).

AHFCS

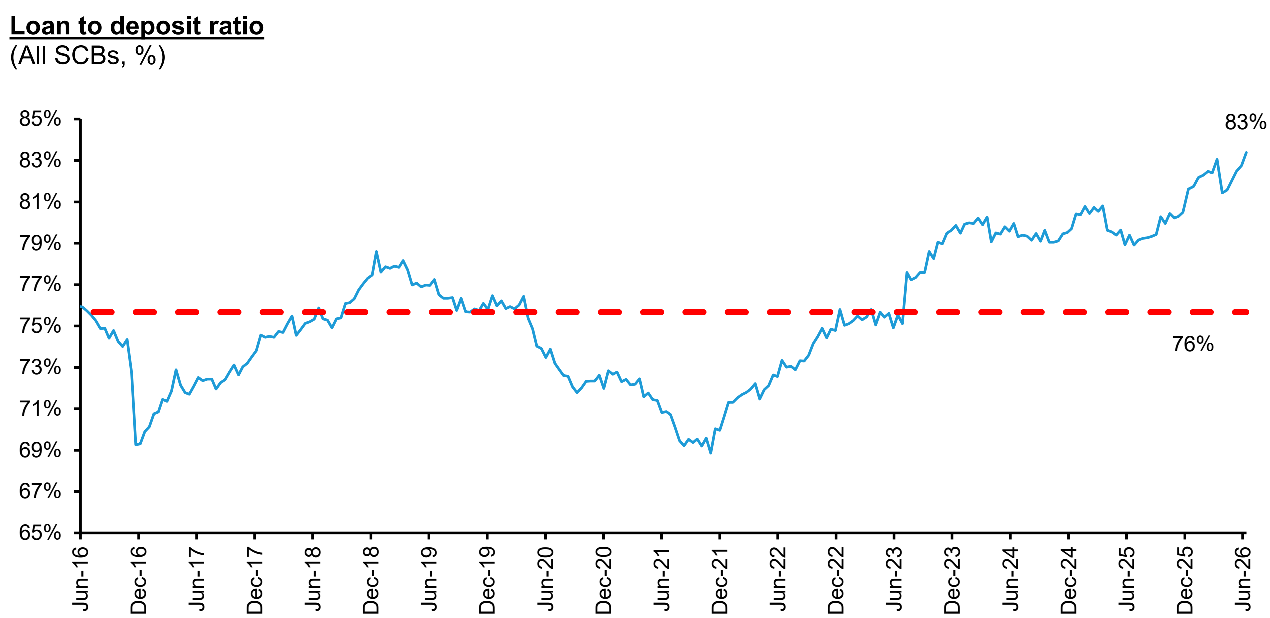
A continuation of the 4Q26 trend of improvement in asset quality and pick-up in disbursement growth will be the key for the segment (Exhibit 55, Exhibit 56). See India Financials: AHFCs- The tide begins to turn

EXHIBIT 27: **The widening spread between loan yields and deposit rates...**



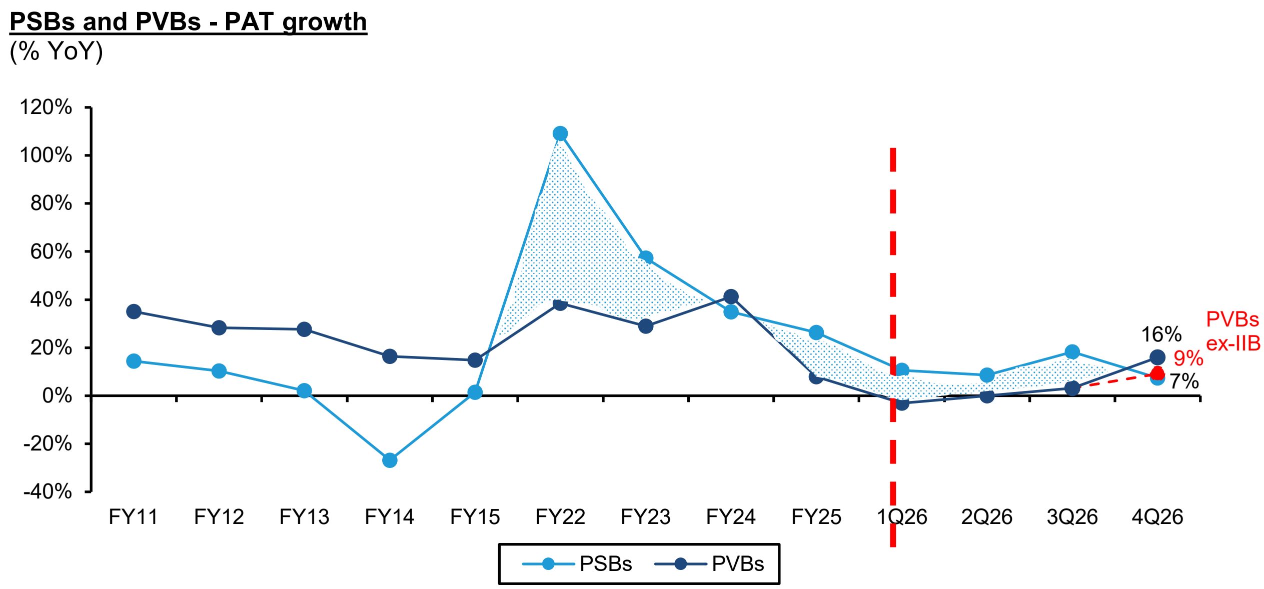
Source: RBI, Bernstein analysis

EXHIBIT 28: **...along with the continued rise in sector loan-to-deposit ratios (LDRs), suggests limited downside risk to sector margins in 1QFY27**



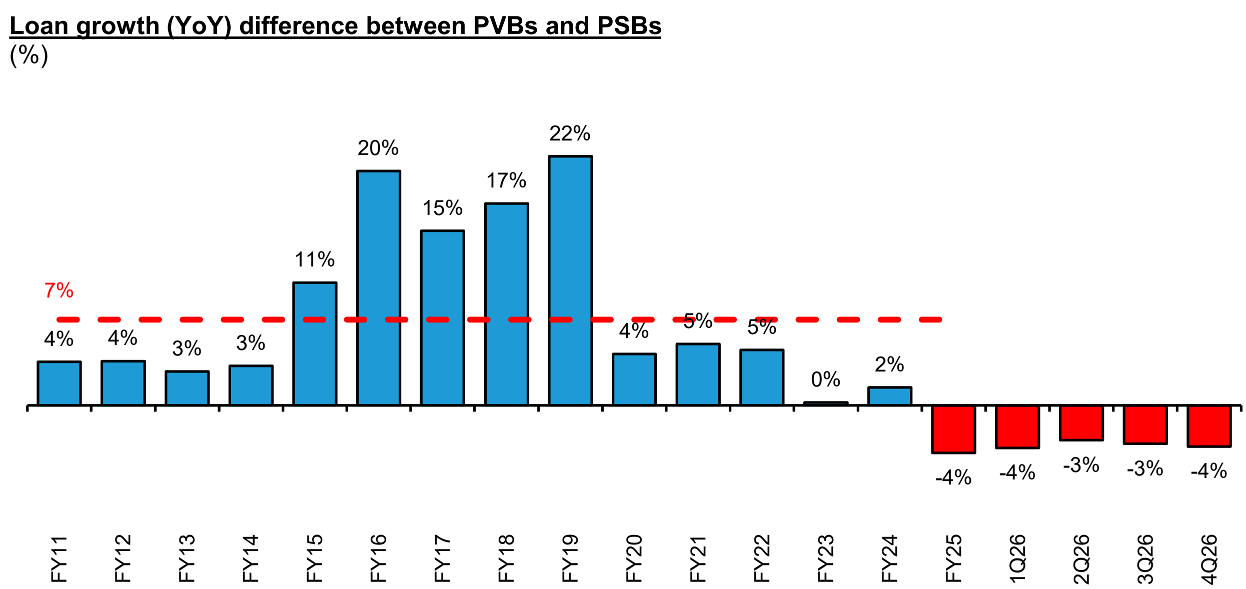
Source: RBI, Bernstein analysis

EXHIBIT 29: **The outperformance of PSBs began to show signs of moderation in 4QFY26, with PVBs regaining earnings momentum after an extended period of weaker growth...**



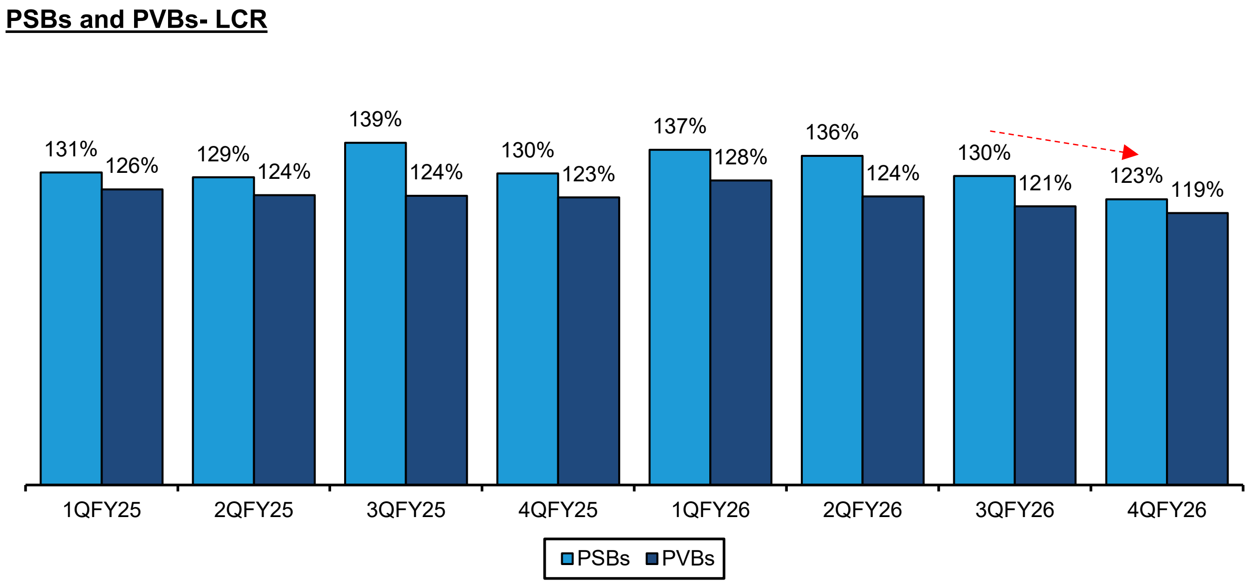
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 30: **...although PSBs continued to deliver higher overall growth.**



Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 31: **With the key drivers of PSB outperformance—surplus liquidity and ultra-low credit costs—nearing exhaustion, we continue to expect a gradual convergence in performance between PSBs and PVBs over the next few quarters.**



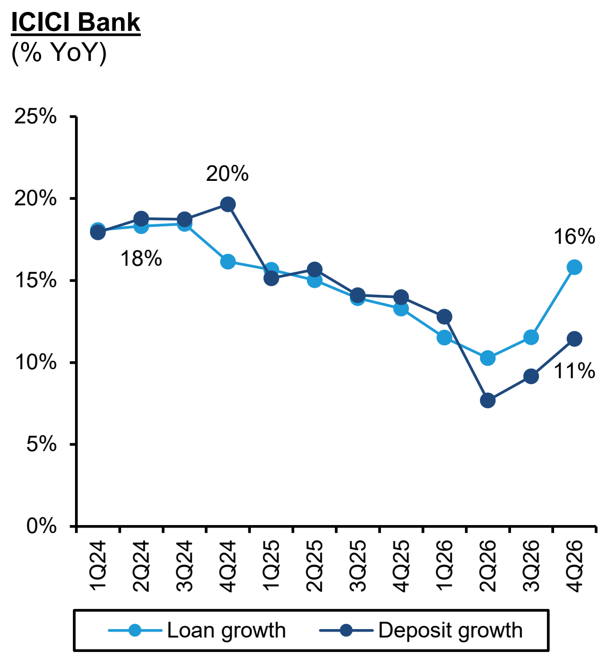
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 32: **HDFCB reported healthy growth of ~15% in both loans and deposits for 1Q27, with deposit growth continuing to be driven by term deposits and credit growth benefiting from the broader recovery in system lending**

Summary table for Current quarter (1Q27)					
HDFC Bank (INR Bn)	**Jun-25**	**Mar-26**	**Jun-26**	**% YoY**	**% QoQ**
Gross advances	26,532	29,600	30,610	15.4%	3.4%
IBPC	1,288	973	660		
Gross AUM (adjusted for IBPC)					
Period End	27,820	30,573	31,270	12.4%	2.3%
Average	27,423	29,644	30,386	10.8%	2.5%
Deposits	27,641	31,053	31,705	14.7%	2.1%
CASA	9,370	10,603	10,255	9.4%	-3.3%
TD	18,271	20,450	21,450	17.4%	4.9%
Deposits (Average)	26,576	28,511	30,114	13.3%	5.6%
CASA	8,604	9,184	9,570	11.2%	4.2%
TD	17,972	19,327	20,544	14.3%	6.3%
LDR	96.0%	95.3%	96.5%		

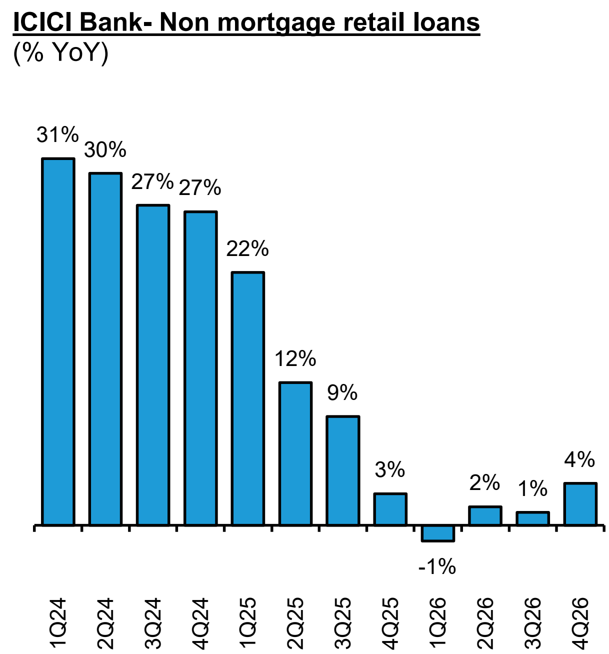
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 33: **Growth momentum for ICICI has continued to improve over the last two quarters...**



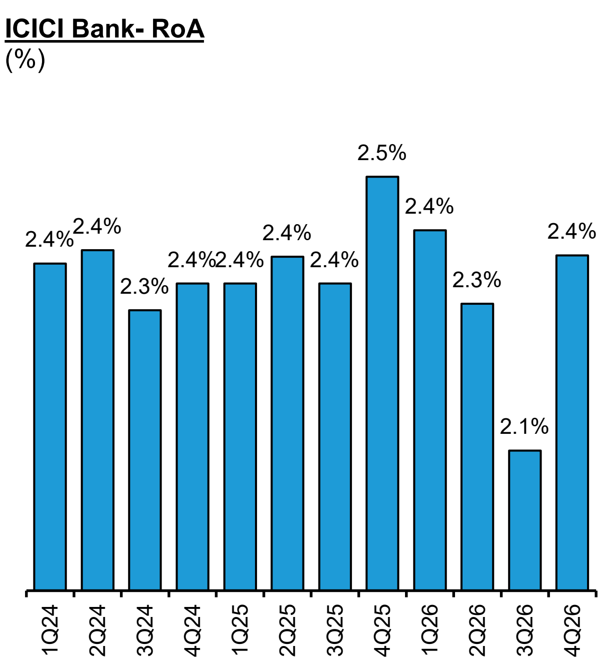
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 34: **...supported by an early recovery in non-mortgage retail lending**



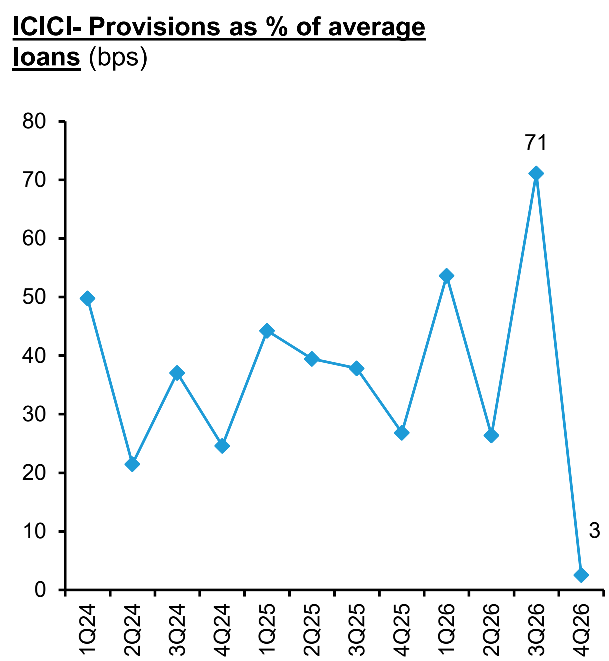
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 35: **ICICI Bank's RoA expanded to 2.4% in 4QFY26...**



Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 36: **...aided by exceptionally low credit costs during the quarter, which the bank attributed to higher recoveries and write-backs**



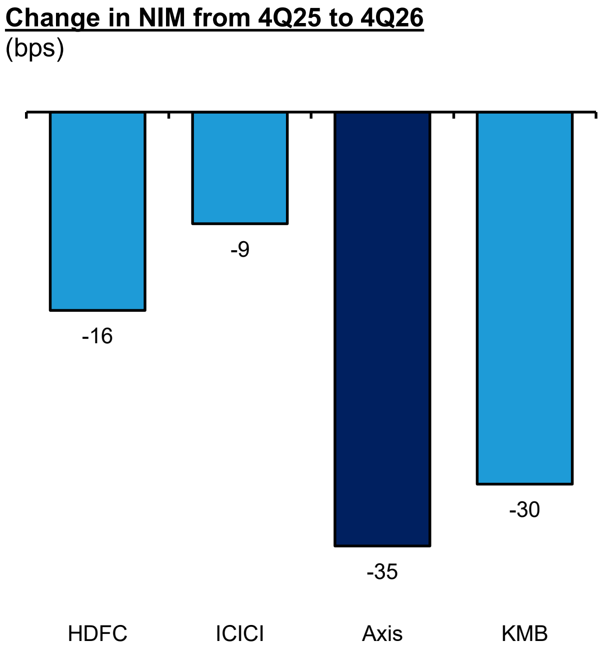
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 37: **Axis has continued to build on its growth momentum, delivering ~19% YoY growth in 1Q27—comfortably ahead of peers such as HDFC and KMB and well above system growth**

Axis Bank (1Q27, INR Bn)	Jun-25	Mar-26	Jun-26	% YoY	% QoQ
Gross Advances	10,719	12,443	12,729	18.8%	2.3%
End balance					
Total deposits	11,616	13,358	13,729	18.2%	2.8%
CASA	4,682	5,289	5,217	11.4%	-1.4%
TDs	6,934	8,069	8,512	22.8%	5.5%
Quarterly average balance					
Total deposits	11,049	12,265	13,048	18.1%	6.4%
CASA	4,243	4,583	4,814	13.5%	5.0%
TDs	6,806	7,682	8,234	21.0%	7.2%

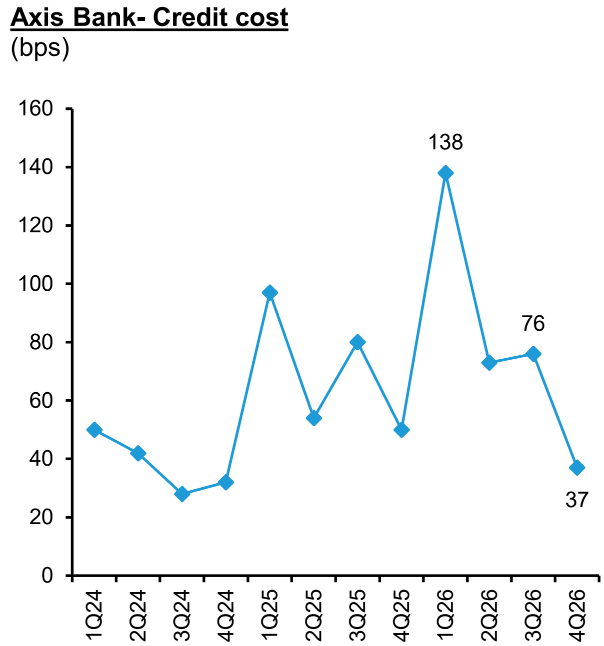
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 38: **Axis' stronger growth over the past few quarters has come at the expense of margins, as visible in the sharpest compression among top 4 PVBs**



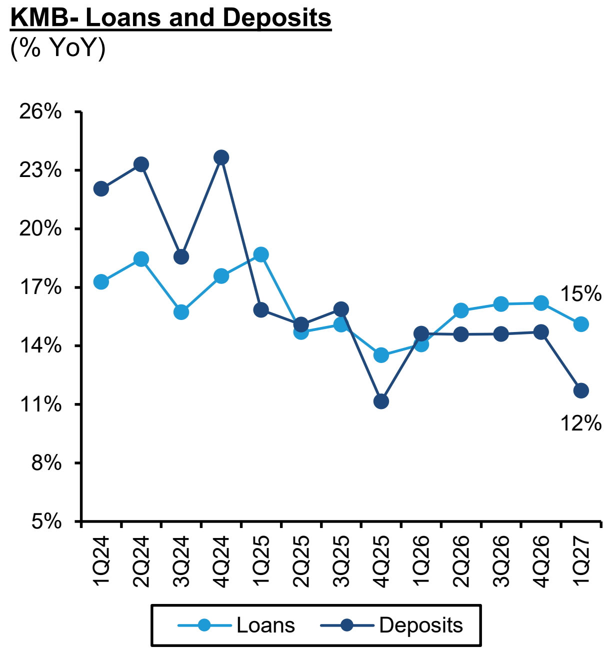
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 39: **Stability in credit costs- without adverse surprises- would be viewed positively**



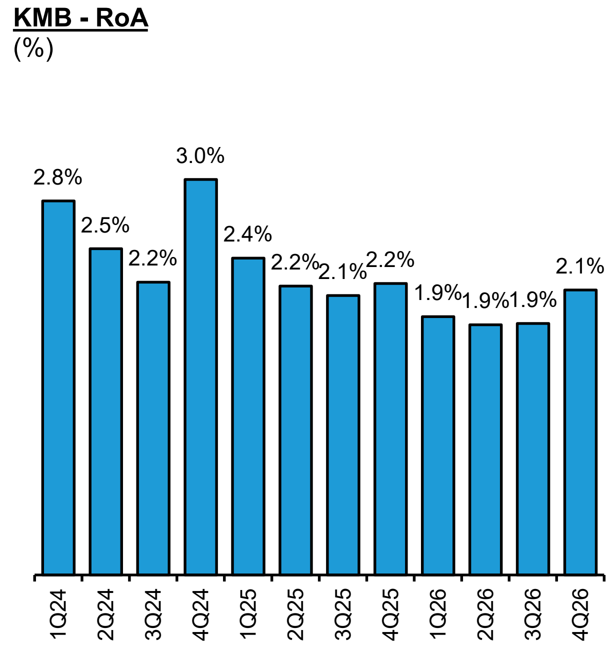
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 40: **KMB's 1Q27 provisional business update pointed towards a weak growth quarter...**



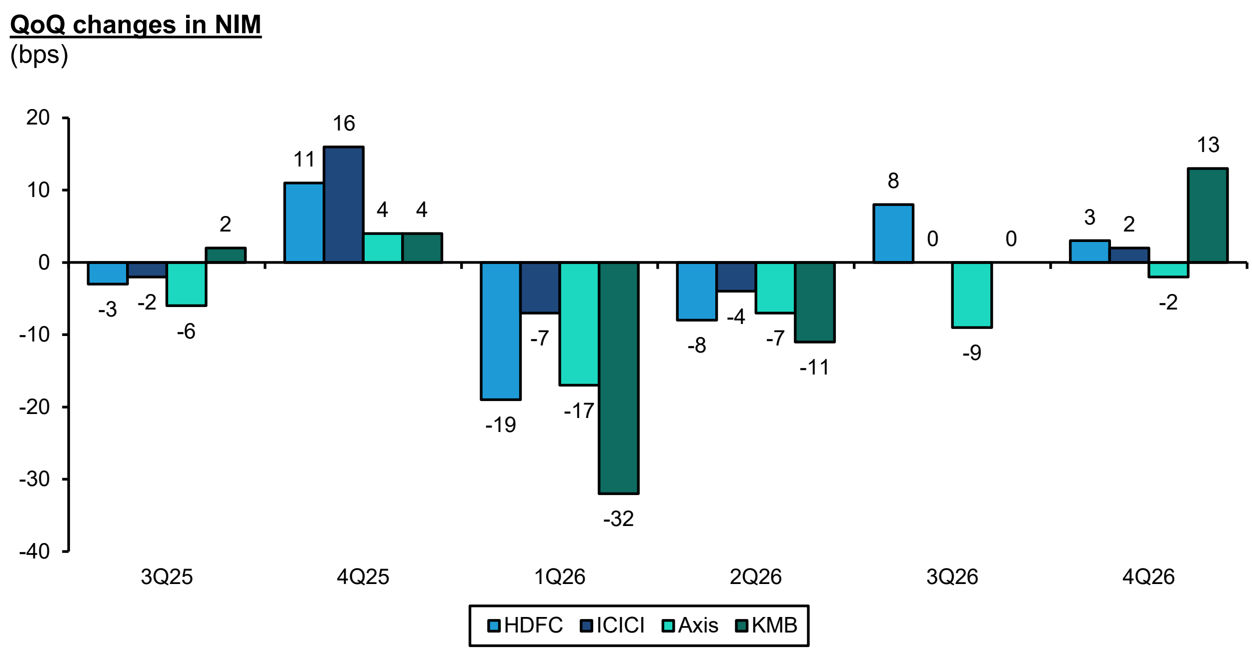
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 41: **...with the bank facing a potential trade-off between growth and margins/profitability**



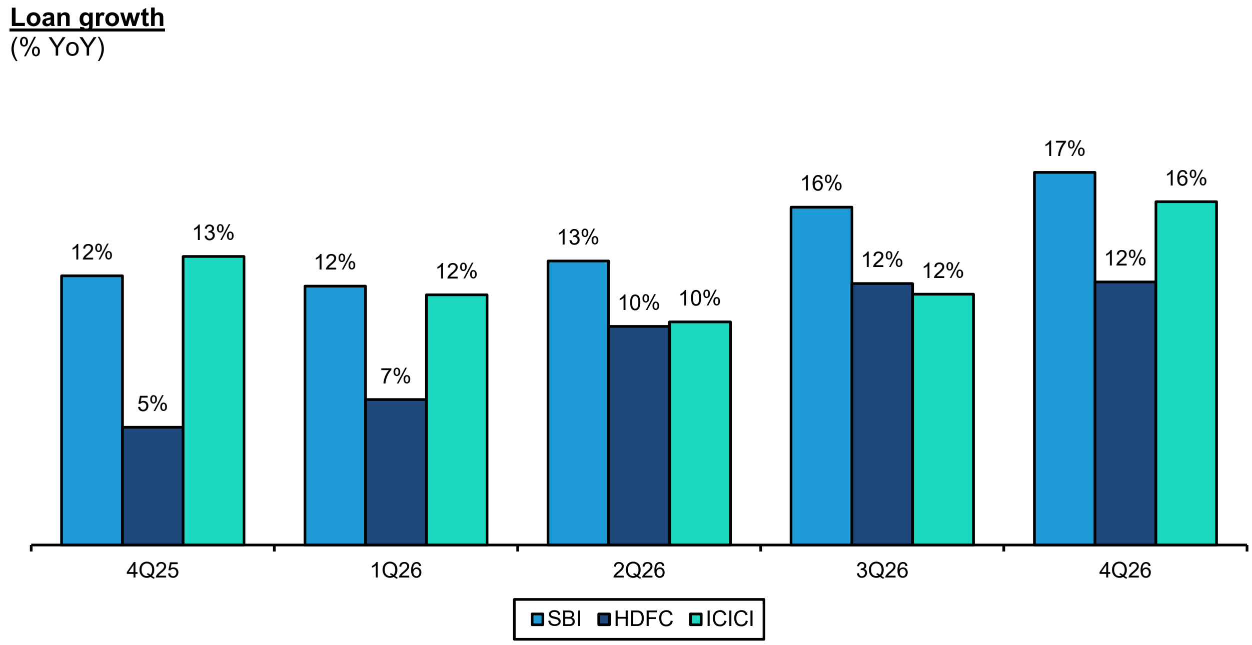
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 42: **This assumes greater significance as the bank had recently started delivering NIM outcomes that were in line with, or better than, peers after a prolonged period of relative underperformance**



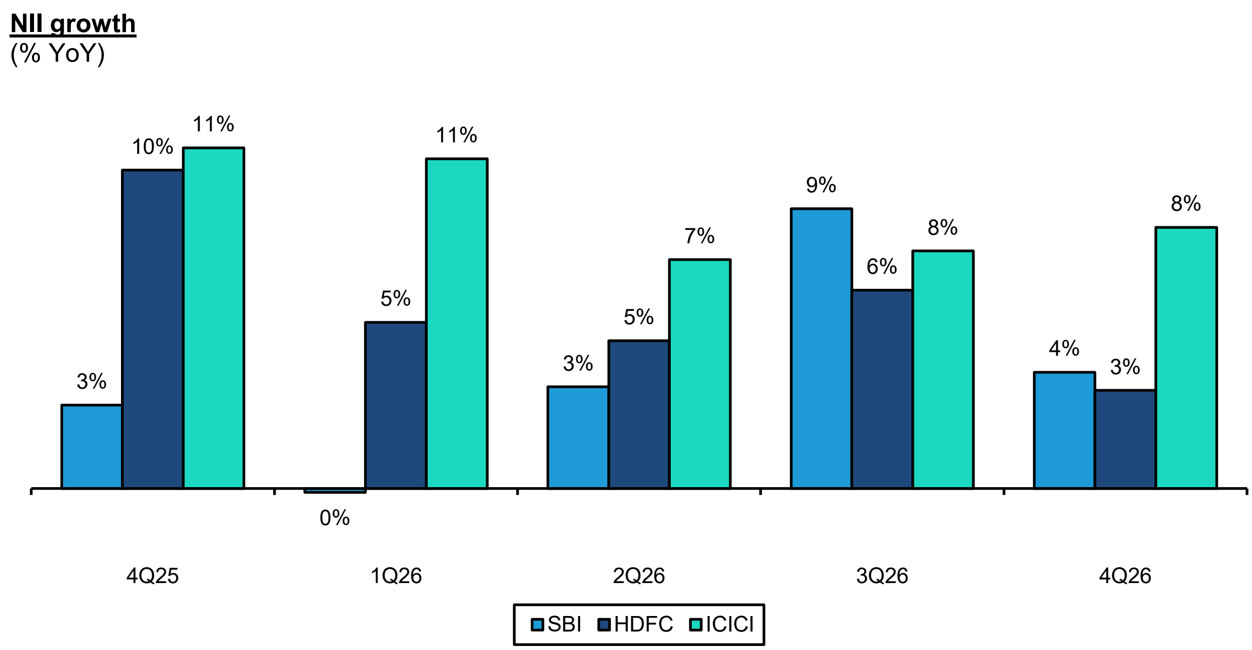
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 43: **SBI has maintained a healthy growth trajectory over the last few quarters, consistently delivering loan growth ahead of both ICICI Bank and HDFC Bank**



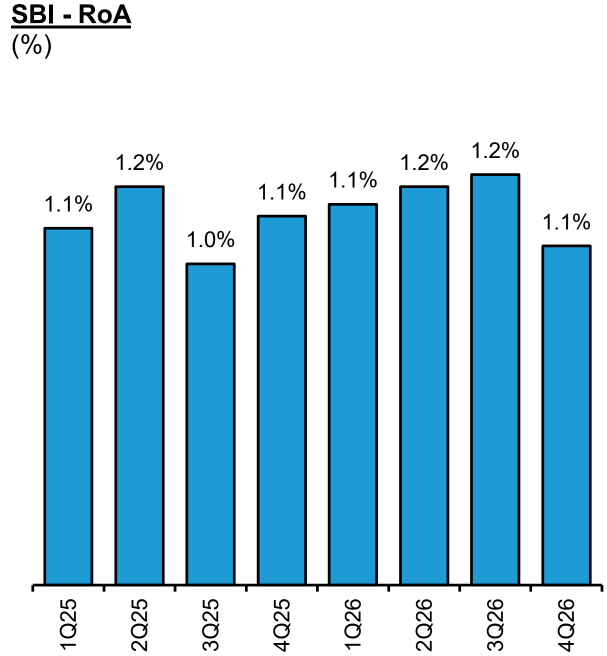
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 44: **NII growth will remain the other key metric to track, with the bank retaining its FY27 NIM guidance of >3%, despite reporting the sharpest NIM compression among major banks in 4Q26**



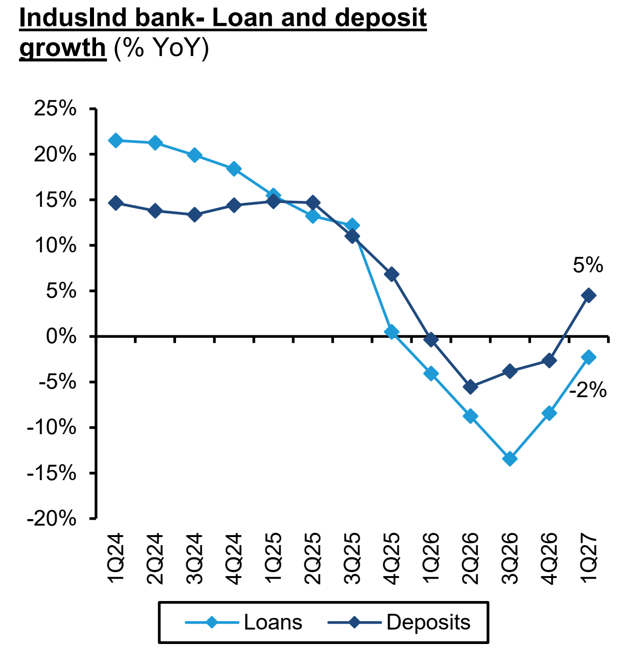
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 45: **As a result, margin trends and their implications for sustaining a 1%+ RoA are likely to remain under scrutiny**



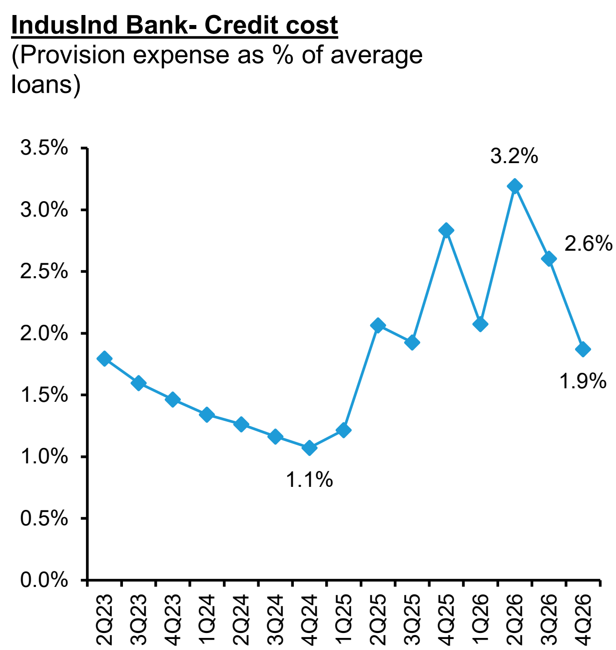
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 46: **IndusInd's 1Q27 provisional update indicated continued improvement in growth metrics, with gradual normalization underway in both loan and deposit growth**



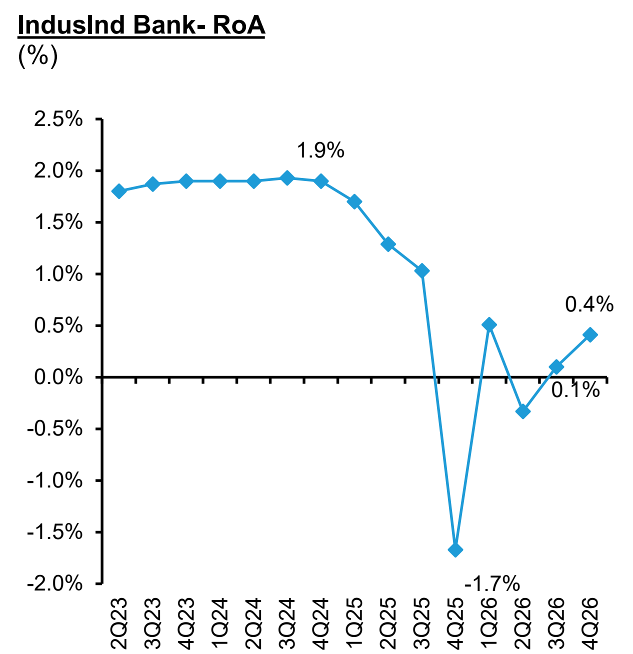
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 47: **Given the broad-based moderation in portfolio stress seen in 4QFY26...**



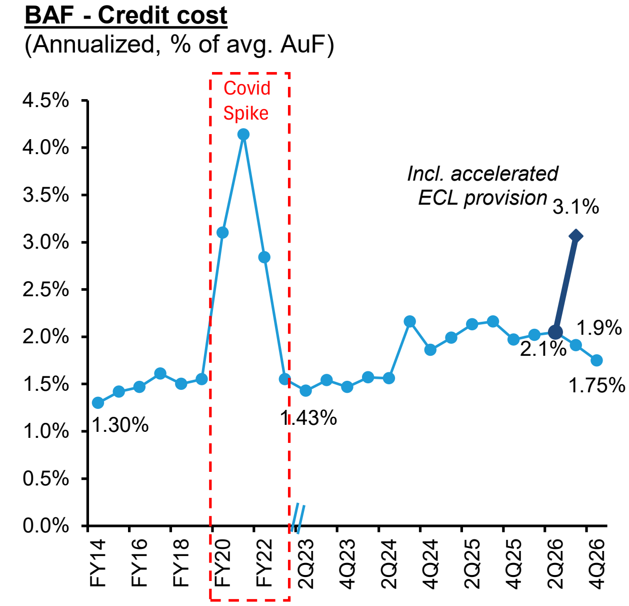
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 48: **...a continuation of similar asset quality trends would provide further boost to the profitability**



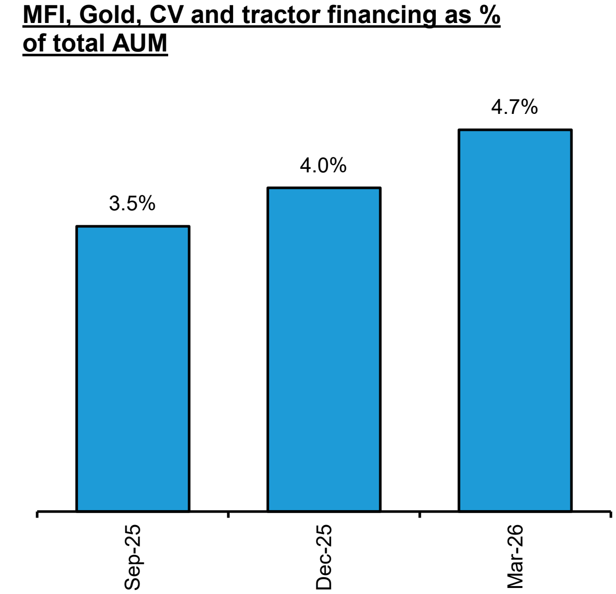
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 49: **Bajaj Finance saw a sharp decline in credit costs in 4Q26, with the management indicating further moderation in credit costs for FY27**



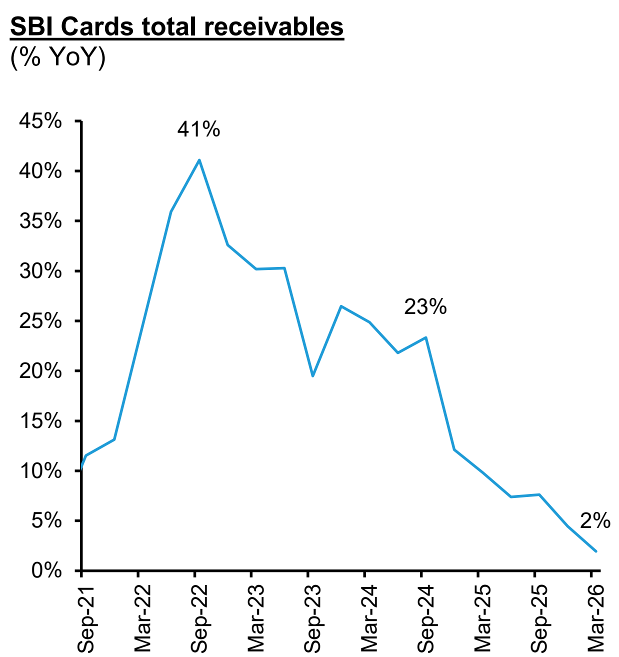
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 50: **Newer segments such as MFI and gold loans, which now account for ~5% of the total portfolio, continue to see strong traction**



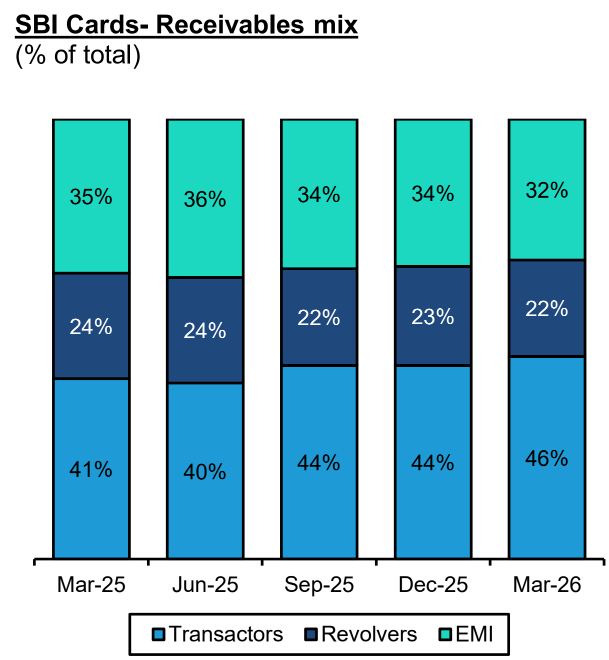
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 51: **With decline in credit costs already factored in, what would matter for SBI Cards in the growth in receivables...**



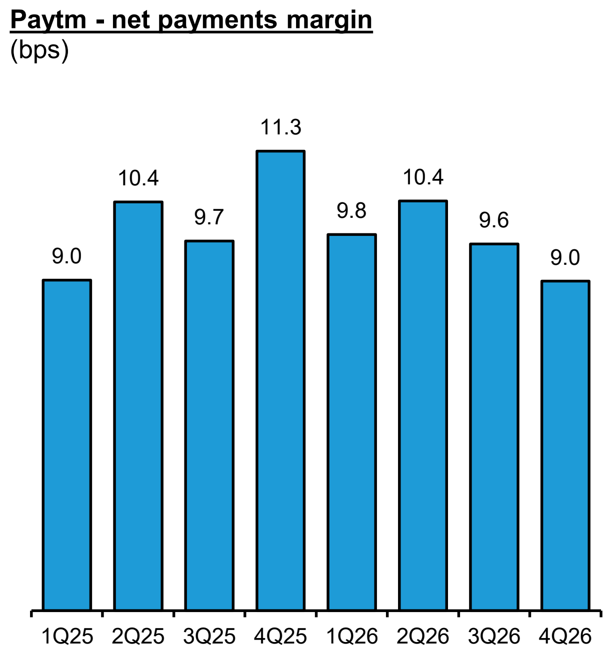
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 52: **...and within that the share of revolvers**



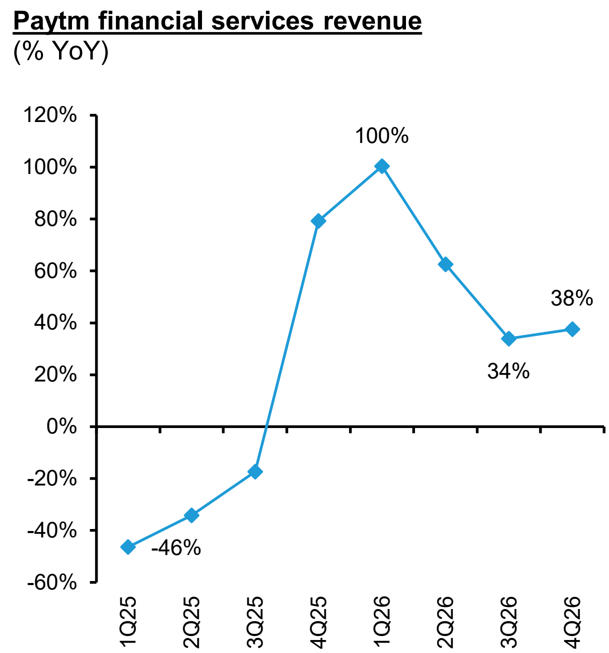
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 53: **Paytm's net payment margin (NPM) declined to 9 bps in 4Q26 (vs. 9.6 bps in 3Q26), reflecting the (known) PIDF discontinuation and no UPI incentive accrual during the quarter**



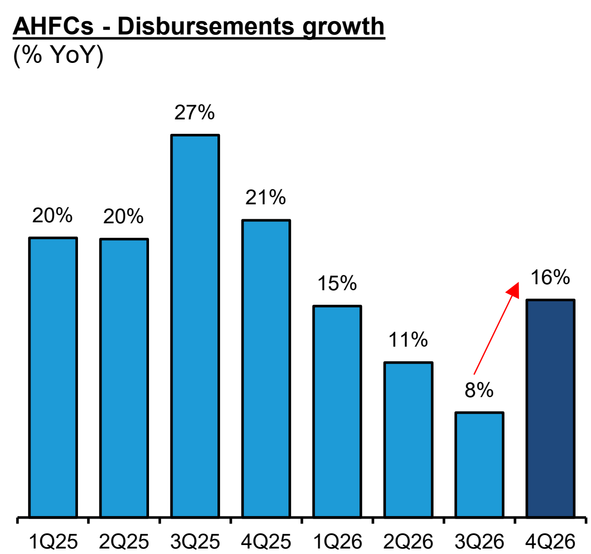
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 54: **Sustained momentum in financial services revenue would further strengthen the case for a more sustainable profitability profile**



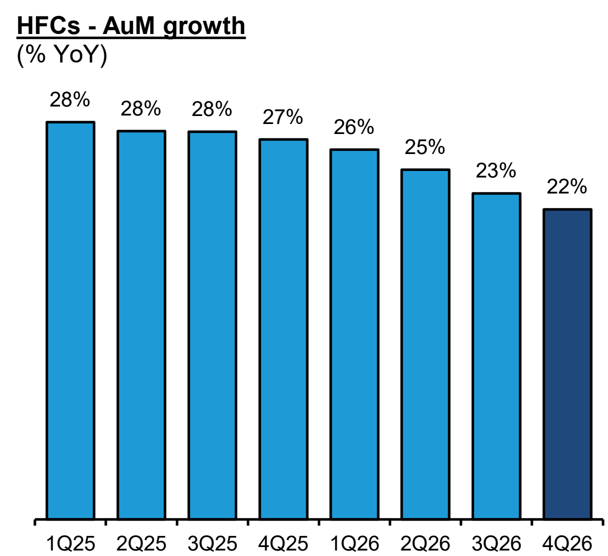
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 55: **A continuation of the 4Q26 trend of pick-up in disbursement growth...**



Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 56: **...and a stabilization in AUM growth would be a key positive**



Source: Company reports, Bloomberg, Bernstein analysis

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

This research publication covers six or more companies. For valuation methodology and other company disclosures:
Please visit: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.
Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RISKS

This research publication covers six or more companies. For risks and other company disclosures:
Please visit: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.
Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

An associate contributing to this report has a financial interest in the equity or debt securities of HDFC Bank Ltd.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY

This research publication covers six or more companies. For price chart and other company disclosures, please visit https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action or you can write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

HDFC Bank Ltd, ICICI Bank Ltd, Axis Bank Ltd, Kotak Mahindra Bank Ltd, State Bank of India, IndusInd Bank Ltd and Bajaj Finance Ltd are covered by both the Autonomous and Bernstein brands. For the research ratings and price target history please go to https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.

CONFLICTS OF INTEREST

SG acted as Joint Lead Manager and Bookrunner in Axis Bank Limited, through its GIFT City Branch's benchmark PNC5.5 Additional Tier 1 (“AT1”) and/or 5-year Senior USD Reg S notes.
SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: One97 Communications Ltd.

AB and/or its affiliates beneficially own 1% or more of a class of common equity securities of the following company: PNB Housing Finance Ltd..

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Axis Bank Ltd.

Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: HDFC Bank Ltd, ICICI Bank Ltd, Axis Bank Ltd, Kotak Mahindra Bank Ltd, SBI Cards and Payment Services Limited, Bajaj Finance Ltd and PNB Housing Finance Ltd..

An affiliate of Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: HDFC Bank Ltd, ICICI Bank Ltd, Axis Bank Ltd, Kotak Mahindra Bank Ltd, State Bank of India and Bajaj Finance Ltd.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: HDFC Bank Ltd, ICICI Bank Ltd, Axis Bank Ltd, Kotak Mahindra Bank Ltd, IndusInd Bank Ltd and PNB Housing Finance Ltd..

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Axis Bank Ltd.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: HDFC Bank Ltd.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Axis Bank Ltd.

Affiliates of Bernstein managed or co-managed in the past twelve months a public offering of securities of Axis Bank Ltd.

Ishan Mittal has a financial interest in the equity or debt securities of HDFC Bank Ltd, ICICI Bank Ltd and Axis Bank Ltd (HDFCB.IN, ICICIBC.IN and AXSB.IN).

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Africa Technologies & Services; Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for “Bernstein” and “Autonomous” research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the “Autonomous” and “Bernstein” brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (https://www.sfc.hk/publicregWeb/corp/AXC846/details)). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People’s Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the “PRC”) in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. (“Daiwa”), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;

- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
  - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
  - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at Sanford C. Bernstein (India) Private Limited (https://bernsteinresearch.in/) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read

all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.